

April 17, 2026 04:01 AM GMT

Nu Holdings | Latin America

US Expansion: Opportunities & Challenges

We assess Nubank’s potential US expansion, highlighting opportunities in deposits, underserved segments, and cross-border use cases, alongside challenges from market maturity, high competition, and structural differences versus Latam.

Ahead of Nubank’s anticipated US entry, we analyze the opportunity size, market structure, and areas where its operating model could drive sustainable share gains. Importantly, Nubank has not disclosed key elements of its US strategy, including product scope, target customers, or geographic focus. As such, this report provides a top-down framework to assess potential outcomes rather than a definitive execution view. We see this as the first in a series of deeper dives, to be refined as more information becomes available.

Our view is that the US represents a large but structurally different opportunity relative to Nubank’s core Latin American markets. We estimate the US consumer banking market generates \$1.0–1.3 trillion in annual revenue, the largest globally, implying even modest share gains can drive meaningful financial impact. Capturing just 1% of the revenue pool would represent roughly 75% of Nubank’s 2025 revenue, while a similar share in credit cards alone would represent 20%. At the same time, the US is highly banked, competitive, and mature. Unlike Brazil and Mexico, where Nubank expanded access in underpenetrated systems, US growth will depend primarily on taking share rather than expanding the market. This raises the execution bar and suggests success will be more targeted by segment and product.

We believe Nubank’s most compelling entry point lies in deposits. The US deposit market combines below-reference rate pricing, product friction, and a large pool of under-optimized balances. Households hold roughly \$20 trillion in financial assets, with a large portion in low-yield checking, savings, and money market accounts. Large banks pay below the reference rate — around 65% of the federal funds rate — leaving room for a low-cost digital player to offer higher yields while maintaining strong returns. The market is fragmented, with the top ten banks controlling just over half of deposits, creating a sizable opportunity to take share across thousands of smaller players. Evidence from fintechs suggests higher yields can drive scalable share gains.

Nubank’s structural cost advantage is a key enabler. With an efficiency ratio of 28% and cost-to-assets of 3.7%, it operates at materially lower cost than US incumbents and most digital peers. This provides flexibility to compete on pricing, offer higher deposit remuneration, and invest in acquisition while maintaining attractive profitability, similar to its experience in Latin America.

Customer segmentation is another key driver. The US has 70 million Latinos, including a large share with roots in Nubank’s core Latam markets, creating a

MORGAN STANLEY & CO. LLC

Jorge Kuri
Equity Analyst
Jorge.Kuri@morganstanley.com+1 212 761-6341

Jorge Echevarria
Equity Analyst
Jorge.Echevarria@morganstanley.com+1 212 761-8015

Andrew Geraghty
Research Associate
Andrew.Geraghty@morganstanley.com+1 212 761-8942

Nu Holdings Ltd. (NU.N, NU UN)				
Brazil Financial Institutions Brazil				
Stock Rating	Overweight			
Industry View	No Rating			
Price target	US\$21.00			
Shr price, close (Apr 16, 2026)	US\$15.43			
Mkt cap, curr (mm)	US\$76,876			
52-Week Range	US\$18.98-10.55			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	0.58	0.88	1.35	1.84
Prior EPS (US\$)**	-	-	-	-
P/E	29.1	17.5	11.4	8.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

pathway for targeted, cost-efficient acquisition supported by brand familiarity and community dynamics. Latinos are one of the fastest-growing major demographic groups in the US — accounting for 70% of total US population growth in recent years. In addition, 25 million underserved US households face similar pain points to those Nubank addressed in Latin America. These households are economically meaningful, with average income of \$62,000, suggesting a digital, low-cost model can serve them profitably.

Beyond domestic banking, the US could enhance Nubank's broader ecosystem. A US presence may strengthen its value proposition for affluent Latin American customers with cross-border needs, while opening opportunities in remittances. The US is a major source of remittance flows, with transfers of \$69 billion annually to Mexico, Brazil, and Colombia. Nubank's ability to operate with licenses in both the US and destination markets could enable a more integrated offering.

Despite these opportunities, challenges are significant. The US is a fully banked market, mainly among higher-income households, where >96% already have banking relationships and switching is limited. Customer acquisition costs are way higher than in Latin America, and switching remains complex, requiring manual migration of payroll and recurring payments, raising barriers to entry and slowing adoption.

The credit card market presents an additional challenge. Penetration is high, with most households holding multiple cards, and the market is concentrated among a few large issuers. Competition is driven by rewards, which account for a meaningful share of transaction value and compress margins. This differs structurally from Nubank's current model and suggests competing effectively in US cards may require meaningful adaptation.

In summary, we view Nubank's US opportunity as large, attractive, but selective. Deposits, underserved segments, and cross-border use cases offer the clearest paths to early traction, supported by favorable market structure and Nubank's cost advantage. At the same time, mature dynamics, high competition, and structural differences — particularly in credit cards — suggest execution will be critical and success is unlikely to come from a simple replication of its Latin American playbook

Reiterate Overweight rating on NU. We believe Nubank is uniquely positioned to build one of the largest and most valuable banking franchises in Latin America, supported by world-class technology, exceptional customer satisfaction, market-leading pricing, and strong unit economics. We think the market continues to significantly underestimate Nubank's ability to scale profitably — especially through deeper cross-sell in Brazil. Our 2026 GAAP net income estimate is 6% above consensus, our 2027 is 24% above, and our 2028 is 32% above. Our granular, bottom-up model — built by product and by country using detailed unit economics and TAM assumptions — suggests Nubank could reach a US\$100 billion valuation by year-end 2026, up from US\$76 billion today. Our financial and valuation model does not yet reflect the US opportunity, representing potential upside to our investment view.

Summary & Conclusions

Ahead of Nubank's entry into the US, we assess the size of the opportunity, the competitive landscape, and the areas where the company's structural advantages could translate into sustainable share gains. Importantly, Nubank has not disclosed key elements of its US strategy — including product scope, target customers, geographic focus, or overall positioning. As such, this analysis represents a top-down framework rather than a definitive view of execution. Even so, we believe it provides a useful starting point to identify where Nubank is most likely to succeed and where structural headwinds are most pronounced. As additional details emerge, we expect to refine this work. This should be viewed as the first in a series of deeper dives into the US opportunity.

Reading the tea leaves. While Nubank has not provided a detailed US strategy, management has offered directional commentary that helps frame its approach. Messaging has been consistent around a gradual, disciplined, and targeted entry, rather than a broad national rollout. Management has emphasized that Brazil, Mexico, and Colombia remain core priorities, with the US viewed as a long-term, low-cost strategic option. The company appears to be pursuing a niche-first strategy, initially focusing on customer segments with ties to Latin America — particularly Hispanic and underserved communities — where brand awareness already exists. Nubank has highlighted deposits, credit cards, lending, and potentially digital asset custody as part of its future product scope, while signaling that growth will be phased and geography-specific, with early focus on states such as Florida, Texas, and California. Management has also emphasized the importance of brand-building, including partnerships such as Inter Miami and Formula 1, alongside reliance on product quality and word-of-mouth to drive adoption. Taken together, these comments suggest a strategy aligned with targeting underserved niches, leveraging cross-border connections, and expanding gradually as the model is proven. For a detailed summary of management commentary on US expansion, please see *Tracking NU's Comments on US Expansion* at the end of this report.

The scale of the opportunity: A \$1+ trillion revenue pool. Before assessing where Nubank is most likely to succeed, as well as the key hurdles it will need to overcome, it is important to frame the overall size of the opportunity. We estimate the US consumer banking system generates approximately \$1.0 to \$1.3 trillion in annual revenue, spanning deposits, credit cards, mortgages, auto loans, personal lending, and payments. This makes it the largest consumer banking market globally by a wide margin. The implication is that Nubank does not need to compete across the full product spectrum to generate meaningful value. Even small share gains can be highly impactful. Capturing just 1% of the total revenue pool would represent roughly 75% of Nubank's 2025 consolidated revenue, while a similar share in a single vertical such as credit cards would represent approximately 20% of revenue. In this context, the US opportunity is less about broad-based disruption and more about identifying specific product segments and customer niches where Nubank's model can scale profitably.

US expansion offers multiple attractive opportunities.

One of Nubank's most tangible advantages is the large Latino population in the US, which totals roughly 70 million people. Within this group, approximately 60% trace their roots to Mexico, Brazil, or Colombia — Nubank's core markets. This creates a potentially unique entry point, as the company may benefit from existing brand awareness and familiarity among these communities. The opportunity is not limited to those three countries; 28 million Latinos trace their origins to other parts of Latin America, suggesting Nubank's brand could extend more broadly across the segment. Geographic concentration further enhances this dynamic. Roughly 70% of Latinos live in just five states, where they represent approximately 36% of the population. This concentration could enable targeted, cost-efficient marketing and allow Nubank to build scale regionally before expanding nationally. Lastly, Latinos are one of the fastest-growing major demographic groups in the US — accounting for 70% of total US population growth in recent years.

Beyond demographics, the underserved segment of the US banking market represents a large and economically meaningful opportunity. There are approximately 25 million underserved households in the US, including both unbanked consumers and underbanked customers who continue to rely on nonbank financial services. These households face many of the same challenges Nubank addressed in Latin America, including high fees, low deposit remuneration, limited access to credit, and subpar customer experience. Latino households are particularly relevant in this context, as they are roughly twice as likely to be underserved and account for about a quarter of this segment. Importantly, the income profile of underserved households is stronger than often assumed. The average underserved US household earns around \$62,000 annually, which is about 25% below the national median but still sufficient to support profitable banking relationships, particularly for a low-cost digital provider. In fact, underserved Hispanic households in the US earn three to five times more than Nubank's typical customer base in Mexico and Brazil, suggesting that the company's model could be deployed in a significantly higher-income environment.

The broader structure of US banking also appears supportive. Profitability remains attractive, with the top ten retail banks generating returns on equity of roughly 20% in 2025, while the top credit card companies delivered 27%. This profitability backdrop is relatively similar to incumbent banking in Brazil and Mexico where Nubank has thrived. Deposits, in particular, stand out as a clear entry point. Large US banks typically pay less than the federal funds rate. This creates an opportunity for Nubank to offer more attractive yields, gain share, and still operate profitably, a dynamic that closely resembles its experience in Brazil and Mexico. At the same time, the US deposit market remains fragmented. The top ten banks control about 54% of retail deposits, leaving the remaining 46% spread across more than 4,300 smaller institutions. This fragmentation suggests that Nubank would not need to displace only the largest incumbents to gain share. Instead, it could compete across a broad base of smaller, less efficient players. Notably, evidence from the US market indicates that offering higher deposit rates can drive share gains. Digital-first banks that offer between 80% and 90% of the reference rate, with no minimum balances and no fees, have steadily increased their share of deposits in recent years.

Nubank's cost structure is a critical enabler of this strategy. The company operates with an efficiency ratio of roughly 28%, about half that of the largest US retail banks, and a cost-to-assets ratio of approximately 3.7%, compared with about 5.5% for incumbents. Even relative to digital peers, Nubank's cost structure is highly competitive, while its return on equity, at around 28%, is meaningfully higher than most comparables. This structural advantage provides significant pricing flexibility, allowing Nubank to offer higher deposit yields, lower fees, or more attractive customer propositions while still maintaining profitability.

In addition to domestic opportunities, a US presence could enhance Nubank's broader franchise, particularly among affluent Latin American customers. Higher-income households account for a disproportionate share of spending, and in markets such as Brazil, the top 10% of earners represent roughly 40% of total wage mass. A US banking license could enable dual-country accounts and cards, strengthening Nubank's relevance for customers with cross-border financial needs. This dynamic could help drive higher engagement and incremental payment volumes, extending the strategic benefits of a US launch beyond the domestic market.

Remittances represent another potential avenue for differentiation. The US is a major source of global remittance flows, with total transfers to Mexico, Brazil, and Colombia estimated at around \$69 billion in 2025. Mexico alone accounts for approximately \$60 billion of that total and has grown at a compound annual rate of about 10% over the past decade. While the remittance market is highly competitive, it remains dominated by standalone payment providers. Nubank's ability to operate with full banking licenses in both the US and destination countries could allow it to offer a more integrated proposition, potentially combining remittances with deposits, cards, and broader financial services. This could translate into lower costs, better pricing, and stronger customer retention over time.

Despite these opportunities, the challenges are significant and should not be underestimated.

The US is a fully banked market, particularly among higher-income households. More than 96% of mid- to high-income consumers already have a bank account, and switching rates are low, with only about 4% changing their primary bank in a given year. This implies that growth will depend on convincing customers to move existing relationships, rather than simply opening new accounts. That is a fundamentally more difficult task than the one Nubank faced in its core markets.

The credit card market presents even greater challenges. Penetration is already high, with approximately 76% of households holding at least one credit card and an average of 2.8 cards per adult. In addition, the market is highly concentrated: the top five issuers control roughly 72% of balances, and the top ten account for nearly 92%. As a result, any meaningful growth in credit cards would require taking share from large, well-established incumbents. Compounding this, rewards are central to competition in the US card market. Roughly one-third of consumers cite rewards as the most important factor in choosing a card, and rewards costs average about 1.6% of transaction volume, effectively offsetting the roughly 1.5% interchange revenue earned by issuers. This leaves interest income to cover credit losses, funding, and operating costs. By comparison, rewards account for only

about 0.15% of Nubank's card transaction volume today, implying that competing effectively in the US would require a materially different and more expensive product structure. That said, the scale of the credit card revenue pool also highlights the potential upside if Nubank is able to establish a foothold in even a narrow segment of the market.

Customer acquisition costs and switching friction add another layer of complexity. In the US, customer acquisition costs in retail banking can range from roughly \$200 to over \$1,000, far above Nubank's historical cost of around \$7 in Latin America. Even digital challengers operate at multiples of Nubank's CAC. At the same time, switching banks in the US remains operationally complex. With approximately 93% of workers paid via direct deposit, moving a primary account requires customers to manually transfer payroll, bill payments, and other recurring transactions. These frictions help explain why only about 7% of customers switch banks annually and represent a meaningful barrier to entry for new players.

Finally, digital experience is no longer a strong point of differentiation. Unlike in Latin America at the time of Nubank's launch, US consumers already report high levels of satisfaction with their banks' digital platforms. Only about 4% of customers rate their primary bank's online experience as poor, and satisfaction scores average around 85 out of 100. This suggests that Nubank will need to compete on pricing, product, and value proposition rather than relying on user experience alone.

In summary, we view Nubank's US opportunity as large, attractive, but selective.

Deposits appear to offer the most attractive entry point, supported by pricing below the reference rate, a large and fragmented market, and clear evidence that higher yields can drive share gains. The combination of a sizable Latino population, a meaningful underserved segment, and cross-border use cases further strengthens the opportunity set. At the same time, structural challenges — particularly in credit cards, customer acquisition, and switching behavior — suggest that success will depend on careful positioning and disciplined execution. Importantly, our findings appear broadly consistent with management's own commentary to date, which points to a gradual, niche-focused expansion centered on underserved and Latin America-linked segments, supported by a low-cost, digital-first model and a phased build-out of capabilities. In our view, Nubank's US strategy is unlikely to be a simple replication of its Latin American playbook. Instead, it will require a targeted approach that leverages its cost advantage and cross-border relevance while adapting to a more mature and competitive market structure. As the company provides further clarity, we expect to refine our assessment of its long-term potential in the US.

Risks to Our View

Our assessment of Nubank's US opportunity reflects a balanced view of attractive structural tailwinds alongside meaningful execution challenges. However, there are several risks to our framework — both to the upside and downside — that could lead to outcomes materially different from our base case.

On the upside, we may be underestimating Nubank's ability to disrupt incumbents in a mature market. While we highlight the US as highly penetrated and competitive, we are reminded that Nubank's track record in Latin America suggests it can gain share even in markets with entrenched players, particularly if it combines pricing advantages with strong customer experience and word-of-mouth growth.

We may also be overstating the impact of switching frictions. While the US system lacks seamless portability, customer behavior has evolved, particularly among younger users who increasingly operate across multiple financial relationships rather than relying on a single primary bank. This could allow Nubank to scale through secondary accounts or targeted use cases without requiring full customer migration, lowering the effective barrier to entry.

Customer acquisition costs represent another potential upside risk to our view. While US CACs are structurally higher, Nubank's model has historically relied on organic growth, referrals, and brand-driven acquisition. To the extent the company can leverage its brand within Latino and immigrant communities — or replicate its low-cost acquisition model — realized CACs could be meaningfully below industry averages.

On the downside, the addressable market may be smaller than headline figures suggest. While we frame the US as a \$1.0–1.3 trillion revenue opportunity, large portions of this pool — including mortgages, prime credit cards, and wealth-driven deposits — may be difficult for Nubank to penetrate in the near to medium term. As a result, the serviceable obtainable market could be materially narrower, particularly in the early years of expansion.

There is also risk that the deposit opportunity proves less durable than expected. While higher rates have driven share gains for digital banks, deposit customers can be price-sensitive and exhibit low loyalty, particularly in rate-driven acquisition models. Sustaining growth may require continued promotional pricing, which could pressure margins over time if not offset by cross-sell or deeper customer engagement.

Similarly, the underserved segment — while large — is already the focus of several US fintech players, including Chime, Cash App, and others. These segments can also present lower balances and higher credit risk, potentially limiting profitability relative to more affluent customer segments. Competition in this space may therefore be more intense, and economics more constrained, than our framework assumes.

Finally, Nubank's structural cost advantage may not fully translate to the US market. Higher regulatory, compliance, fraud, and customer acquisition costs could compress the gap versus incumbents and digital peers. If the company is unable to replicate its low cost-to-serve and low CAC model, its ability to compete aggressively on pricing while maintaining strong returns could be more limited than expected.

What's included in this report?

In the rest of this report, we include the full set of presentation slides that expand on each of the opportunities and challenges discussed above. These slides provide a more granular, data-driven view of the US market structure and the specific areas where we believe Nubank could gain traction — as well as the key hurdles it will need to overcome. We include below a brief roadmap to guide readers through the main themes covered in the deck and to highlight the areas we believe are most critical to monitor as the company refines its US strategy.

On the opportunity side, we highlight:

- The structural attractiveness of the US consumer banking market, within a \$1.0–1.3 trillion total revenue pool, where even small share gains can drive meaningful revenue upside.
- The potential to leverage Nubank's brand among the 70 million Latinos in the US, particularly those with ties to its core markets, enabling targeted and cost-efficient early customer acquisition
- The large and economically viable underserved segment, with 25 million households that exhibit many of the same pain points Nubank addressed in Latin America
- The structural attractiveness of the US deposit market, including pricing below the reference rate, and clear evidence that higher remuneration can drive share gains.
- Nubank's structural cost advantage, with an efficiency ratio of 28% and cost-to-assets of 3.7%, supporting aggressive pricing while preserving returns
- Cross-border opportunities, including strengthening its value proposition for affluent Latin American customers and addressing a multi-billion remittance market through a differentiated dual-license model.

On the challenge side, we focus on:

- The mature and highly penetrated nature of the US banking market, where >96% of higher-income households are already banked and switching rates are low
- The credit card market, where 76% of households already have a card, the top five players control 72% of balances, and growth depends primarily on taking share
- The central role of rewards in card competition, with 1.6% of transaction volume paid out in rewards, materially compressing economics relative to Nubank's current model
- Structurally higher customer acquisition costs, which can range from \$200 to over \$1,000 per customer versus Nubank's \$7 in Latin America.

Nubank — US Expansion: Opportunities & Challenges



The US market offers multiple opportunities for Nubank:

- Massive revenue TAM means small market share gains offer outsized P&L impact.
- Leverage Nubank's brand among a very large Latam-rooted US population to enable targeted, cost-efficient scale.
- Underserved US households face similar pain points Nubank disrupted across Latam.
- Enhance Nubank's Latam value proposition with multi-country licenses, enabling a stronger cross-border offering for affluent customers and remittances for all customers.
- US banking economics are attractive, with ROEs of 15-25%, broadly comparable to Latin America.
- Deposits represent the clearest entry point, with remuneration below the reference rate, a highly fragmented market, and evidence that paying up drives share gains.
- A structural cost advantage enables aggressive competition, with Nubank's economics materially outperforming incumbents and most digital peers.

The US presents a massive TAM for Nubank.

- **Opportunity:** We estimate a US consumer banking revenue TAM of \$1.0 to \$1.3 trillion, making it the largest globally. Therefore, even small market share gains can translate into outsized revenue upside. If Nubank were to win only 1% market share of the entire revenue TAM (approx. \$12 billion), it would represent 75% of its 2025 consolidated revenue. Simply looking at credit cards, 1% market share of the revenue TAM would represent 20% of its 2025 revenue.

US Consumer Banking Total Addressable Market (2025)

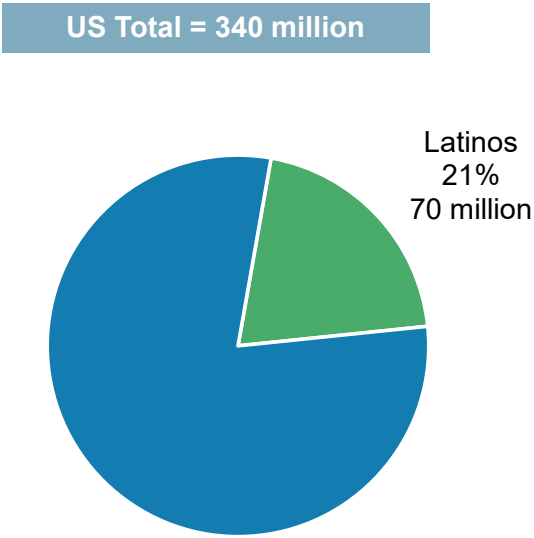
Product	Outstanding Balance	Revenue TAM
Deposits	\$18.4 tn	\$300-400 bn
Credit Cards (ex-acquiring)	\$1.3 tn	\$300-330 bn
Mortgages	\$13.2 tn	\$250-300 bn
Auto Loans	\$1.7 tn	\$90-120 bn
Personal Loans	\$0.6 tn	\$60-90 bn
Credit Cards (acquiring)	\$1.3 tn	\$30-60 bn
Total TAM		\$1,030-1,300 bn

Source: Balances come from the Federal Reserve and FDIC. The revenue TAM is a Morgan Stanley Research estimate. By product, we assume the following. Deposits: 2% spread plus fees. Credit Cards (ex-acquiring): interest income and fees from CFPB, interchange of 1.5% on \$6 trillion of TPV. Mortgages: 1.7% spread plus fees and servicing revenue. Auto Loans: 7% APR. Personal Loans: 11% APR. Credit Cards (acquiring): merchant acquirer take rate of 50 basis points on \$6 trillion of TPV.

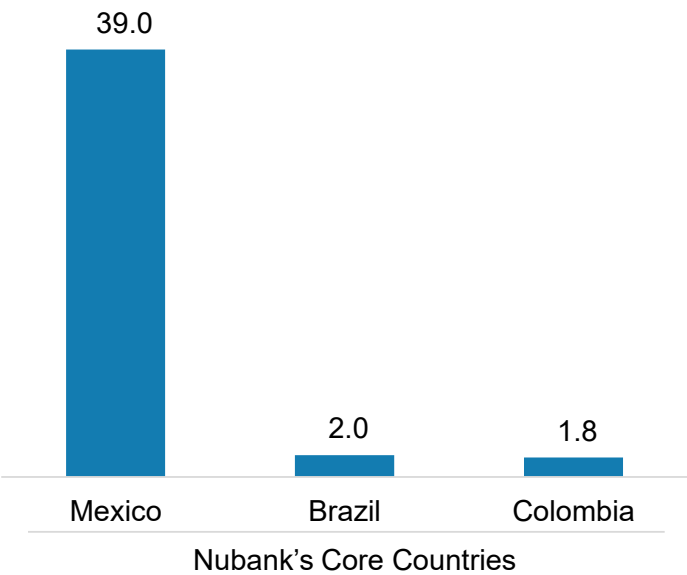
A large, Latam-rooted US population gives Nubank a path to initial scale.

- **Opportunity:** Nubank can leverage its strong brand recognition among the 70 million Latinos in the US, particularly the population with Mexican, Brazilian, and Colombian roots. Nearly two-thirds of Latinos (13% of the US population) trace their origins to Nubank’s core countries. Latinos are one of the fastest-growing major demographic groups in the US — accounting for 70% of total US population growth in recent years.

US Population by Origin
(2024)



60% of Latinos trace their roots to Mexico, Brazil, or Colombia
(By Country of Origin, Million)

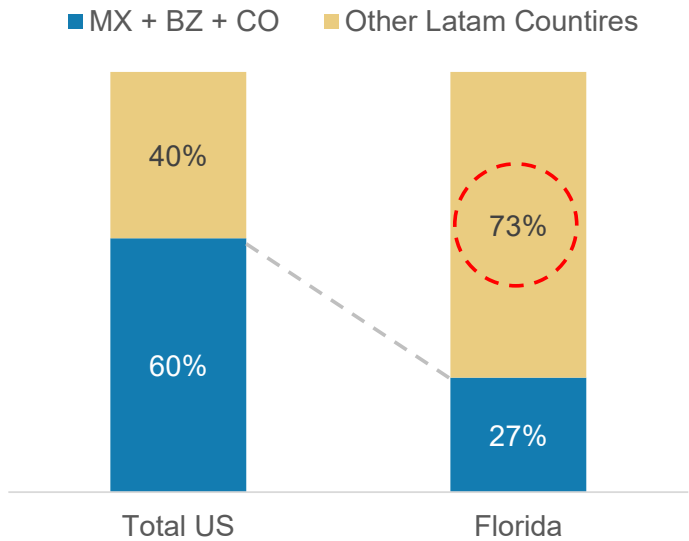


Source: United States Census Bureau, Brazil Ministry of Foreign Relations, Morgan Stanley Research.

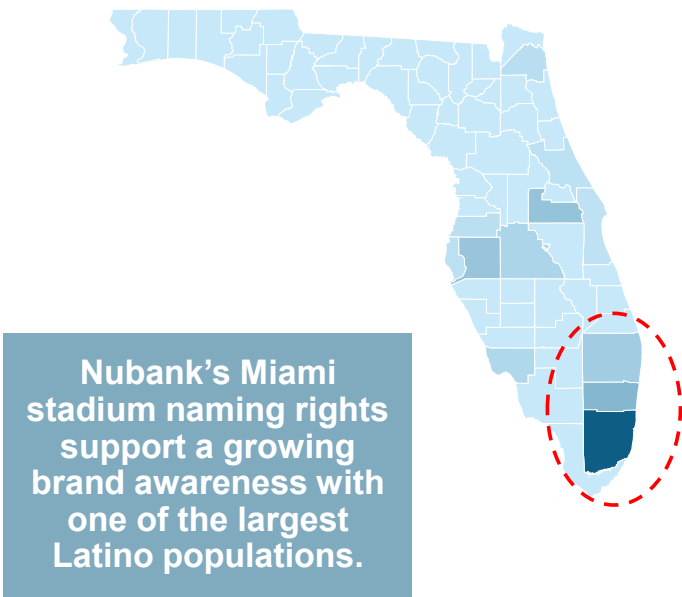
Nubank's brand recognition can extend beyond core countries of origin to the broader Latino population.

- **Opportunity:** Beyond the three core countries of origin, Nubank could also leverage its brand with 28 million Latinos that have roots in other Latin American countries.
- For example, Florida is the third-largest state by Latino population (7.5 million), yet 73% of Latino residents trace their origins to countries other than Mexico, Brazil, or Colombia. The most common include Cuba and Puerto Rico.

Latinos by Country of Origin
(2024, % of Latino Residents)



Florida Latinos by County
(2024)

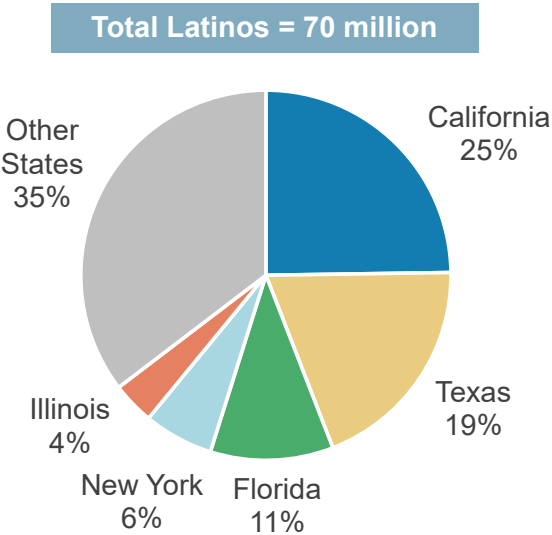


Source: United States Census Bureau, Brazil Ministry of Foreign Relations, Morgan Stanley Research.

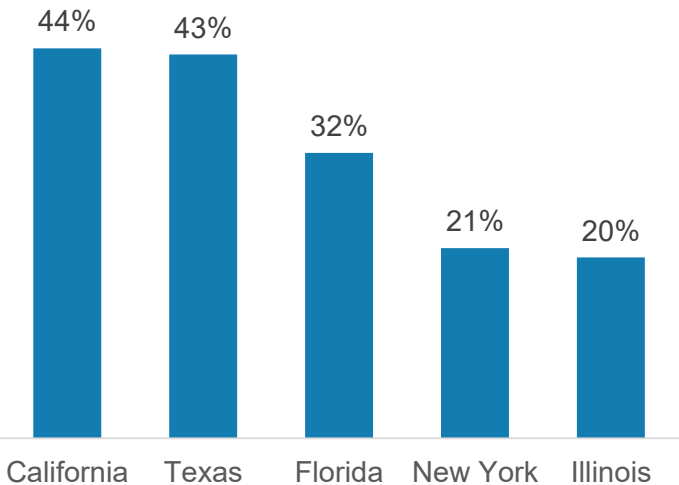
Latino geographic concentration enables targeted marketing without limiting national ambitions.

- **Opportunity:** Roughly 70% of Latinos live in just 5 States, where they make up over one-third of the population. Strong geographic concentration offers Nubank the potential to lean on pre-existing or easy-to-build brand recognition among Latinos — allowing for more targeted and cost-efficient marketing.

70% of Latinos Live in 5 States
(2024)



Latinos Make Up 36% of the Top 5 States' Population
(% of State Population, 2024)

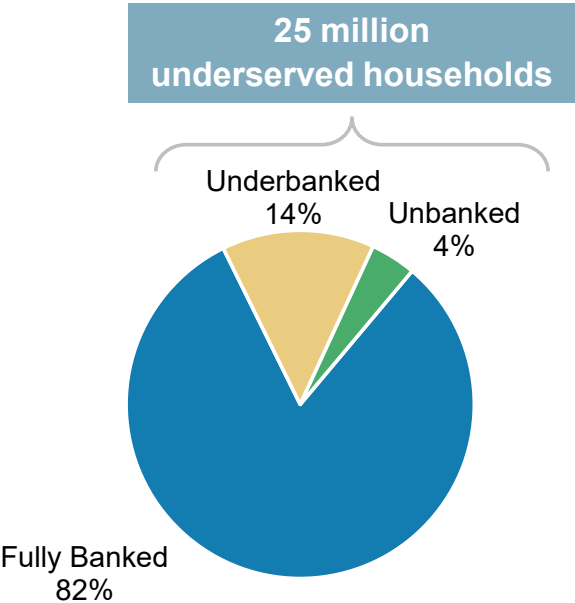


Source: United States Census Bureau, Brazil Ministry of Foreign Relations, Morgan Stanley Research.

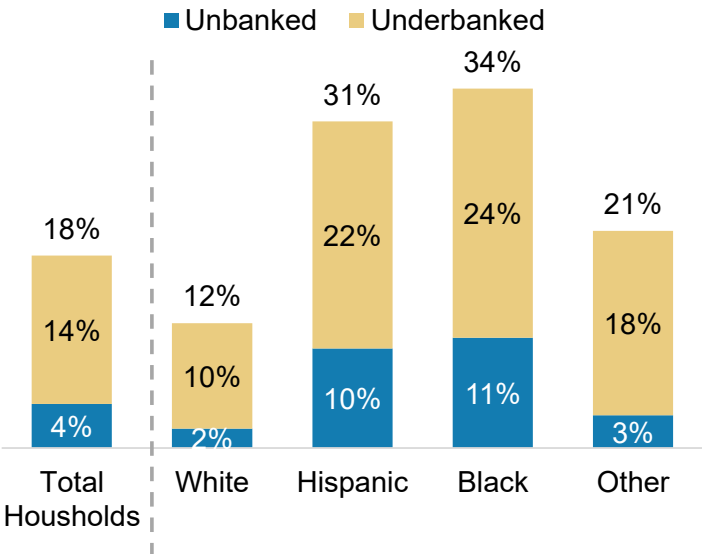
Underserved US households represent a large and economically meaningful addressable market.

- **Opportunity:** Nubank’s low-cost, fully digital model is well suited to serve the 25 million underserved households in the US, including both unbanked consumers and underbanked customers who rely on nonbank services because traditional banks do not meet their needs on cost, access, convenience, or credit.
- Notably, Latino households are 2x more likely to be underserved, representing 25% of the underserved US households.

US Households by Banking Status
(2023)



Underserved Households by Ethnicity
(% of US Households, 2023)

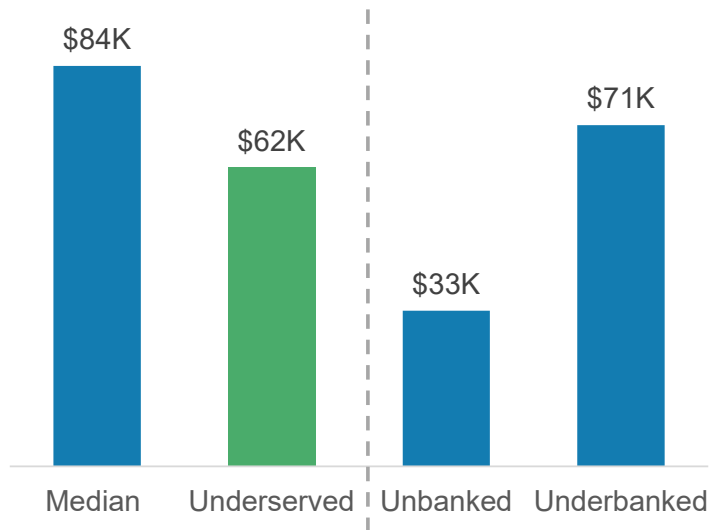


Source: FDIC National Survey of Unbanked and Underbanked Households, Morgan Stanley Research. Note: Unbanked do not have a bank account, while underbanked have a bank account but still rely on nonbank financial services such as payday loans, pawn loans, or remittances.

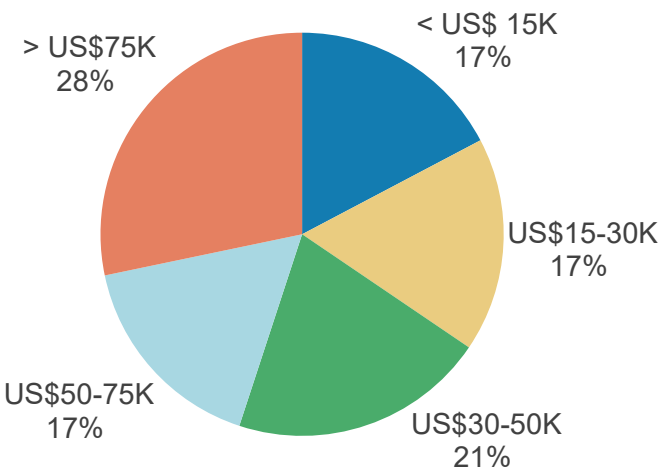
Most underserved US households earn enough to sustain profitable banking relationships.

- **Opportunity:** Despite earning 25% below the national median, the average underserved US household earns US\$62,000 per year — income levels sufficient to support formal banking and credit products, particularly from low-cost digital banks like Nubank.

Household Income by Banking Status
(2025e)



Underserved Households by Income
(2023)



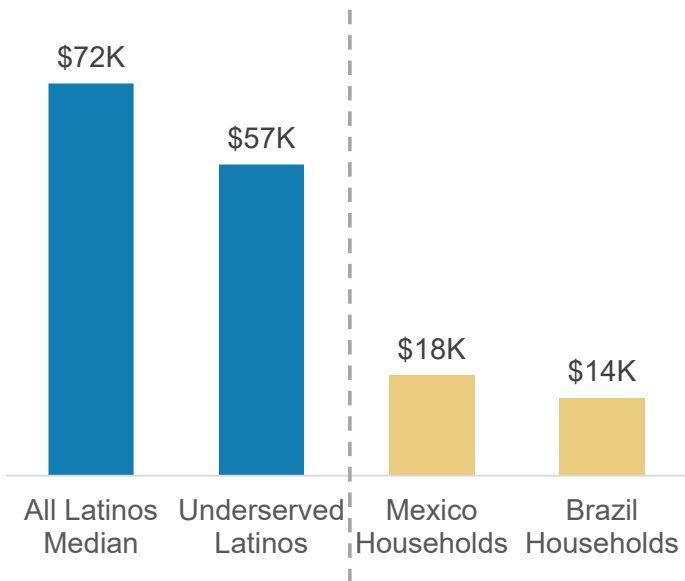
Digital banks with a structurally low-cost base can materially expand the addressable customer pool to lower income segments while still generating attractive returns.

Source: FDIC, Census Bureau, Morgan Stanley Research Estimates (e).

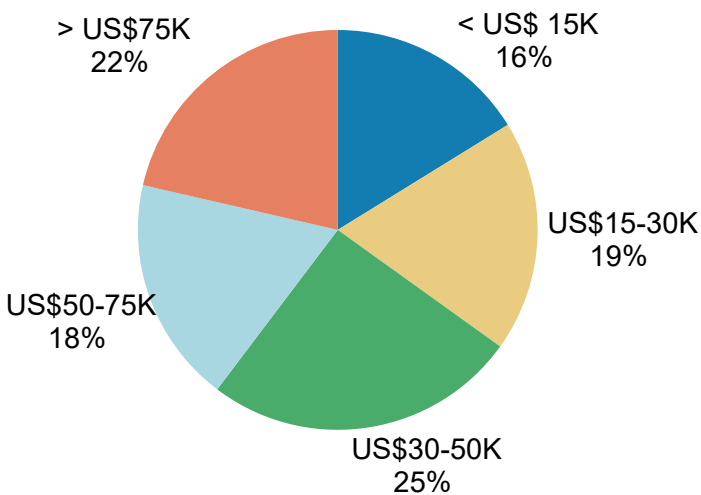
Underserved US Latinos households are far richer than NU’s Latam base.

- **Opportunity:** US Latinos, including those underserved, earn 3x to 5x more than households in Mexico and Brazil, reinforcing the opportunity to deploy Nubank’s proven playbook in a higher-income context.

US Household Income vs Mexico
(2025e)



Underserved Latinos Households by Income
(2023)

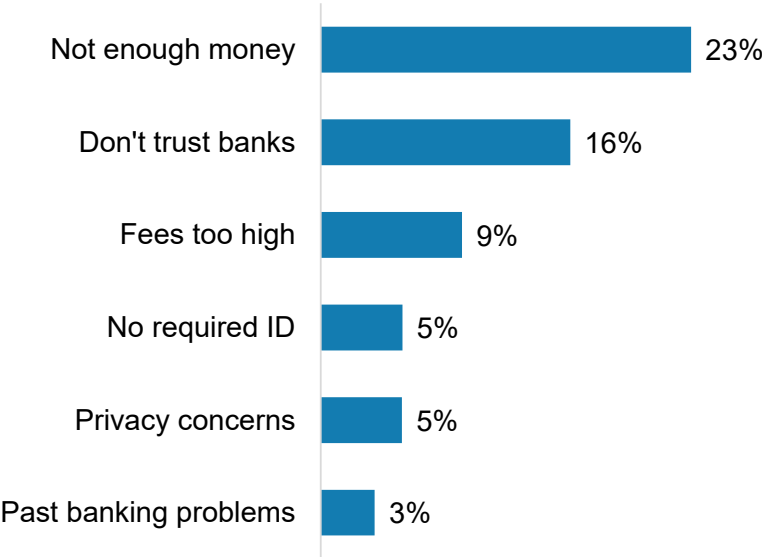


Source: FDIC, Census Bureau, Morgan Stanley Research Estimates (e).

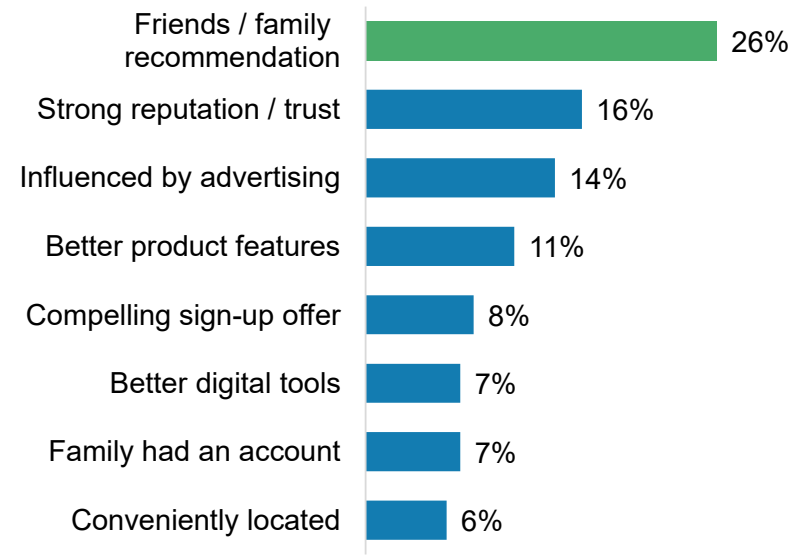
US consumers face the same pain points NU successfully addressed in Latam.

- Opportunity:** The US market has many of the same structural pain points Nubank successfully addressed in Latin America — high fees, low deposit remuneration, subpar customer service, and limited access to credit for some segments of the population. In addition, word-of-mouth and recommendations from family and friends play a critical role in US consumers’ choice of a primary bank, offering Nubank a familiar and proven path to scale.

Underserved Consumer Pain-Points
(Top 6 Reasons for Not Having Bank Account)



Reasons for Selecting a Primary Bank
(US)

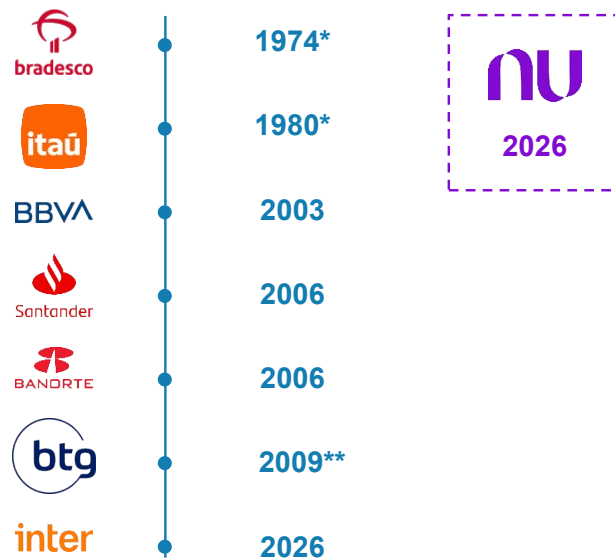


Source: CBA Consumer Survey, Morgan Stanley Research.

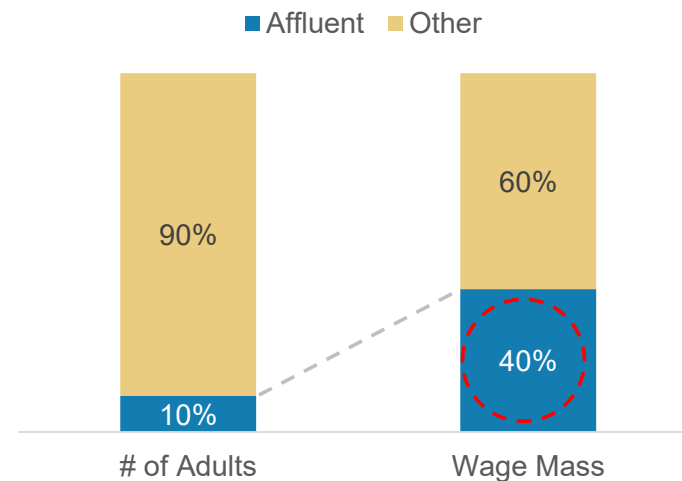
A US banking license strengthens NU's relevance to affluent Latam customers.

- **Opportunity:** A US banking license makes Nubank more relevant to affluent Latam customers by enabling a dual-country bank account and card proposition, as they frequently travel or maintain financial ties to the US. Given that card TPV is heavily concentrated among wealthy households, this dynamic should support deeper penetration and drive incremental card TPV market share. Notably, key competitors in affluent segment, such as Itaú, BTG, and Banorte have had US bank licenses for a while.
- In Brazil, for example, the wealthiest 10% earn 40% of the wage mass. Card spending, however, is likely even more concentrated, as high-income consumers typically receive higher credit limits relative to income and more generous rewards, leading them to rely more heavily on credit cards for day-to-day spending.

Latam Banks with US License



Brazil Wage Mass Distribution (2024)



Source: IBGE, Morgan Stanley Research. Note: *Foreign bank branch authorization. Bradesco got a full banking license in 2019, while Itau is applying for one now. **Broker dealer since 2009, got a full banking license in 2025.

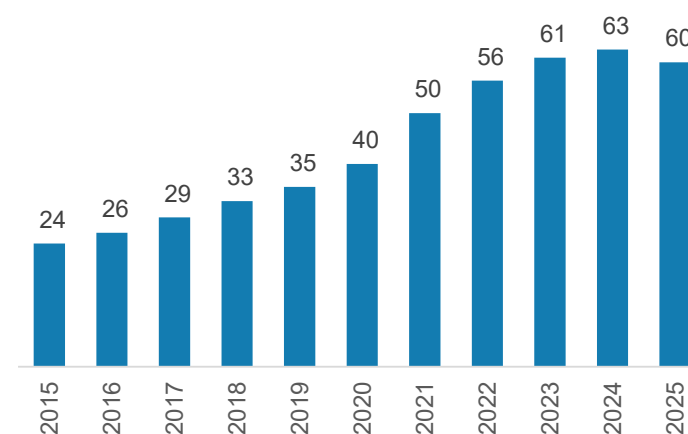
Multi-country licenses could unlock a differentiated remittances model.

- **Opportunity:** Holding full banking licenses in both the US and key remittance destinations such as Mexico allows Nubank to address the very large Latam remittances market (US\$69 billion in 2025). Notably, Mexico is the largest destination of US remittances globally, at US\$60 billion in 2025, with a solid 10-year CAGR of 9%.
- While remittances is a highly competitive business with many long-established players, it remains dominated by standalone payment companies rather than dual-license banks. Nubank's full banking presence on both sides could enable differentiation through product bundling and superior economics.
- **Example:** Allowing both sender and receiver to hold Nu accounts and cards, Nubank may enable benefits such as free or discounted remittances, higher deposit remuneration, or broader cross-sell.

US Remittances by Destination (US\$ BN, 2025)

	US\$ BN	% of Total
Mexico	60.0	26%
India	38.3	17%
Guatemala	25.5	11%
Philippines	14.1	6%
China	14.0	6%
:	:	:
Colombia	6.5	3%
Brazil	2.5	1%
MX + BZ + CO	69.0	30%

US Remittances to Mexico (US\$ BN)

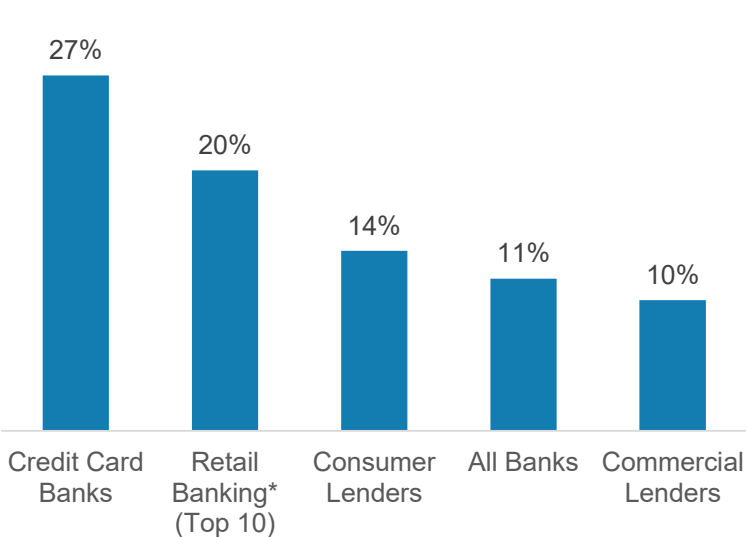


Source: Central Banks, Morgan Stanley Research. Note: Morgan Stanley estimates for India, Philippines, and China.

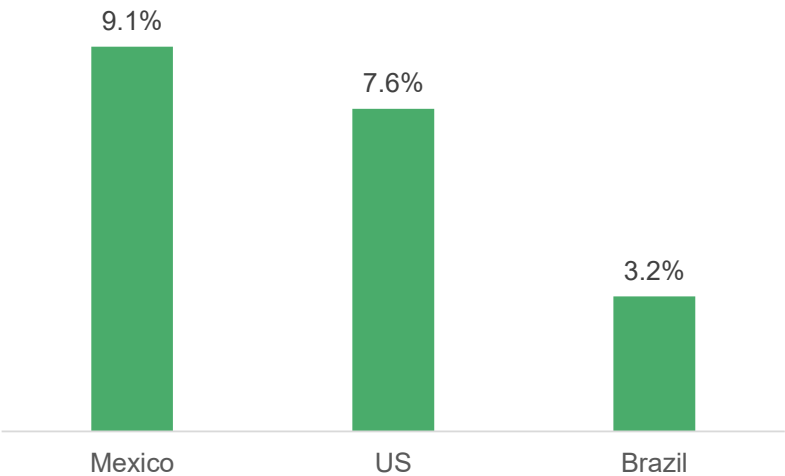
Attractive US banking economics, broadly comparable to Latin America.

- **Opportunity:** Returns in US consumer banking in the 15-25% level are relatively similar to those in Latin America where Nubank has thrived.
- **Example:** The 10 largest US retail banks generated an average ROE of 20% in 2025, attractive versus a risk-free rate of roughly 4%. Similarly, credit card banks delivered 27% ROE, translating into double-digit risk-adjusted returns.

Banking ROEs in the US
(2025)



Risk-adjusted ROE (ROE – Rf)
(Top 5 Incumbent Banks; 2025)



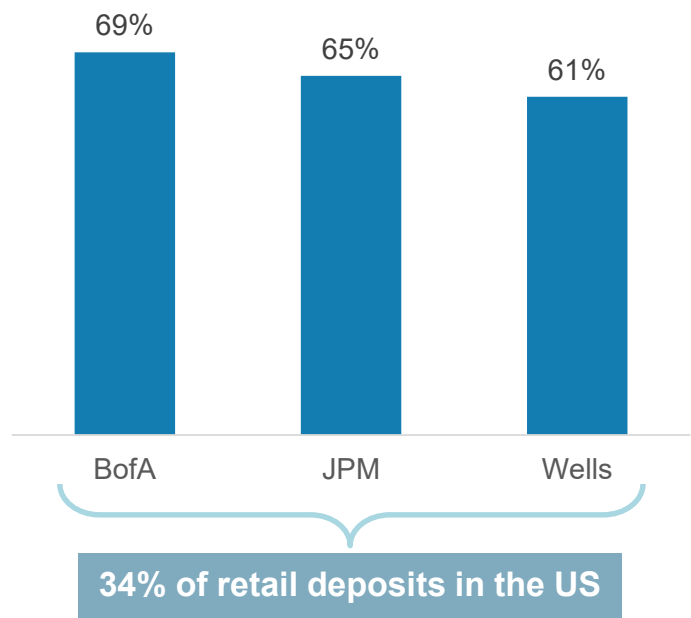
Source: FDIC, Morgan Stanley Research. * Note: The ROE for the top 10 retail banks is calculated based on disclosures for the consumer banking operations only of the top 10 banks (ranked by credit card market share). Note: Risk-adjusted ROE is calculated as ROE minus the average overnight government interest rates.

Deposit costs below the reference rate allowed Nubank to outpay competitors and gain share in Latin America.

- Opportunity:** Cost of deposits in the US at below the reference rate creates an opportunity for Nubank to offer consumers higher remuneration on their savings, gain market share of deposits, and still operate with attractive economics. This was the set up in Brazil and Mexico, where Nubank has been highly successful in building a deposit franchise with that approach.

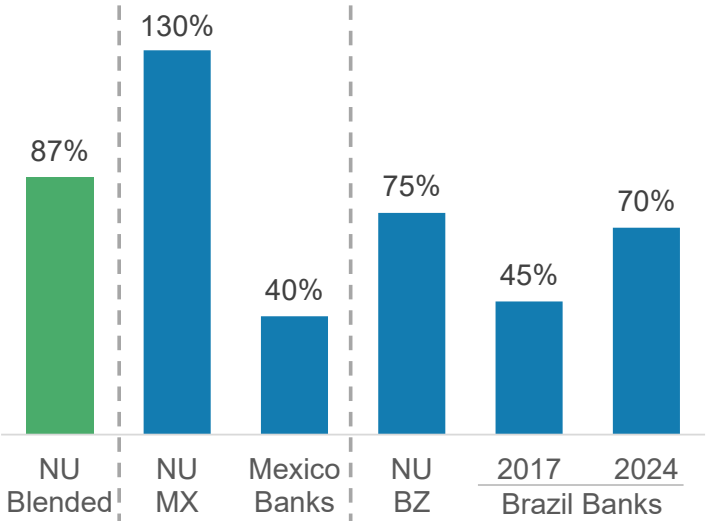
Cost of Deposits as % of Federal Fund Rate

(Top 3 Banks by Deposits*, 2025)



Nubank Gained Share in Latam Outpaying Incumbent Banks

(Cost of Deposits as % of Reference Rate)



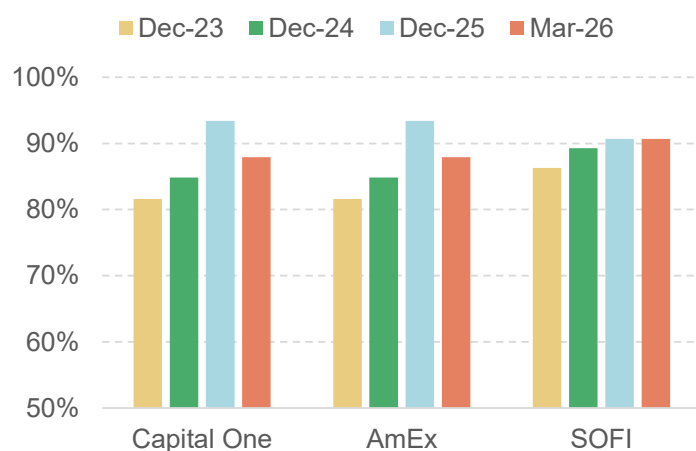
Source: Company Data, FDIC. Note: *For JPM we use Consumer & Community Bank disclosure, for BofA we use Consumer Banking disclosure, and for Citi we use US Personal Banking disclosure.

Paying up for deposits has already proven to drive sustainable share gains.

- **Opportunity:** Evidence from the US market suggests that paying up for deposits can drive market share gains. Several digital-first consumer banks offer attractive deposit yields (between 80–90% of the reference rate) with no minimum balances and zero fees. Over the past few years, these players have consistently gained retail deposit share, reinforcing the view that aggressive deposit remuneration can be an effective and scalable strategy in the US.

US Online Savings Rates

(% of federal fund rate)



US Household Deposit Market Share

(FDIC Insured Deposits)

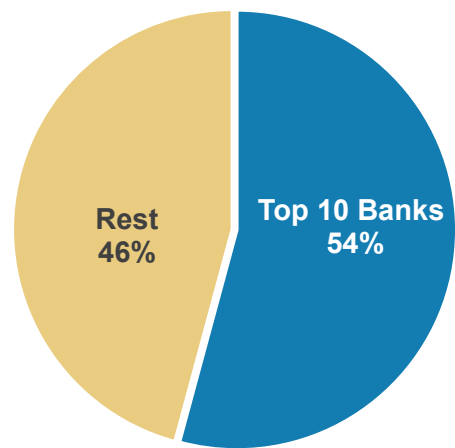
	2022	2023	2024	2025
Deposits Market Share				
Capital One*	3.2%	3.3%	3.4%	4.4%
AmEx	1.1%	1.2%	1.3%	1.4%
SoFi	0.1%	0.2%	0.2%	0.3%
Change (bps)				
Capital One*	10	4	12	100
AmEx	22	14	9	10
SoFi	7	10	7	10

Source: Company Data, Morgan Stanley Research. Note: Online savings rates are for banks with sizeable online/direct banking models. We choose the higher of their Money Market Accounts and Online Savings Accounts. SOFI excludes 'boost' promo rate. *Capital One acquired Discover Card in 2025; boosting deposit market share materially.

Fragmentation creates an unusually large pool of deposit share up for grabs.

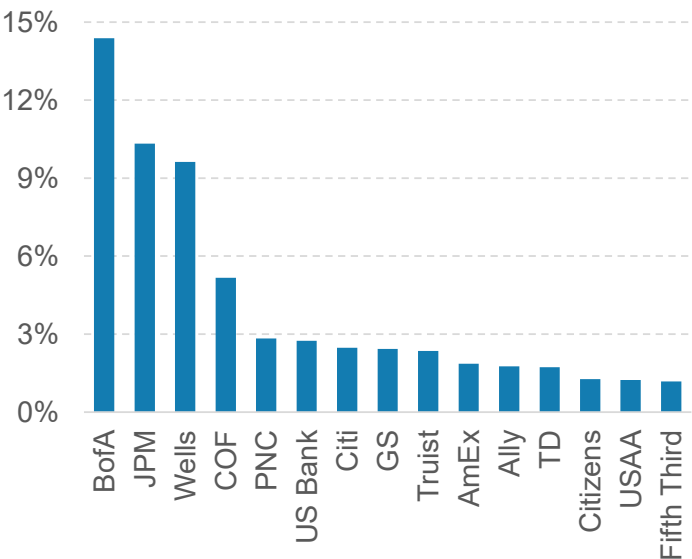
- Opportunity:** The US retail deposit market is highly fragmented: the top 10 banks control 54% of balances, while the remaining 46% is spread across more than 4,300 smaller institutions. We view this fragmentation as an attractive opportunity for Nubank, as a competitive high-yield deposit offering should enable it to gain share from thousands of smaller players that lack pricing flexibility, cost efficiency, and modern digital capabilities.

US Retail Deposit Market Share by Group
(2025)



Retail Deposits* = US\$7.4 Tn

US Retail Deposit Market Shares
(Top 15, 2025)

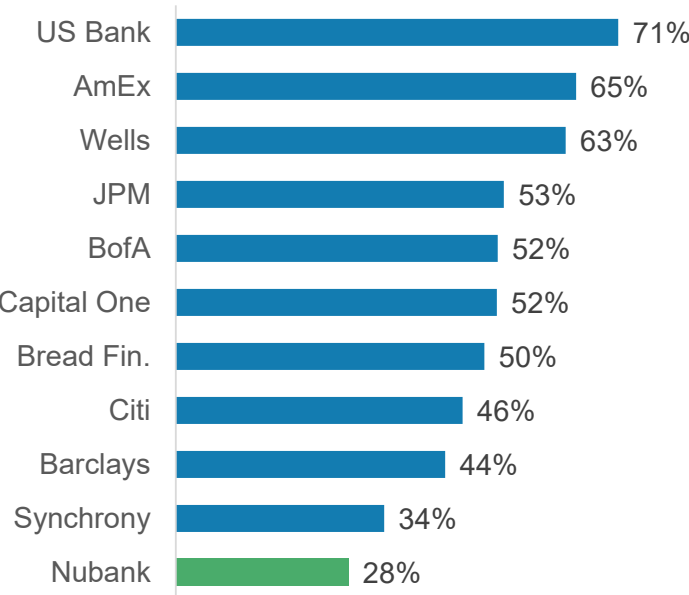


Source: FDIC, Morgan Stanley Research Estimate (e). Note: retail deposits are calculated as the sum of transaction accounts, savings deposits (including money market deposit accounts), and time deposits below \$250k, based on FDIC data. Market shares may differ from that disclosed by certain banks.

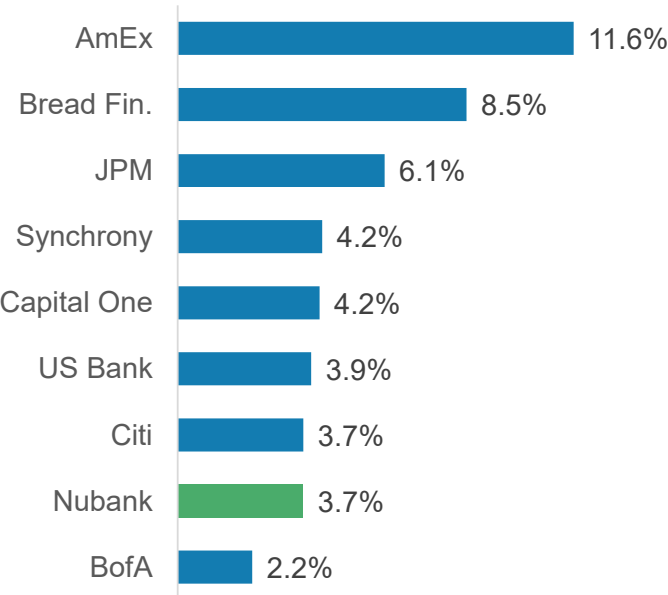
Nubank’s low-cost structure stands out compared to US incumbents.

- **Opportunity:** Nubank operates with a structurally lower cost base than US consumer lenders. Its efficiency ratio (28%) is roughly half that of the top 10 retail banks. While the gap narrows on a cost-to-assets basis, reflecting differences in asset yields, Nubank still stands out with a cost of 3.7% versus 5.5% for the top US banks. This cost advantage provides Nubank with greater pricing flexibility, allowing it to offer lower fees and more attractive deposit yields while sustaining profitability.

Consumer Lenders: Efficiency Ratio
(Top 10 Retail Banks; 2025)



Consumer Lenders: Cost-to-Assets
(Top 10 Retail Banks; 2025)

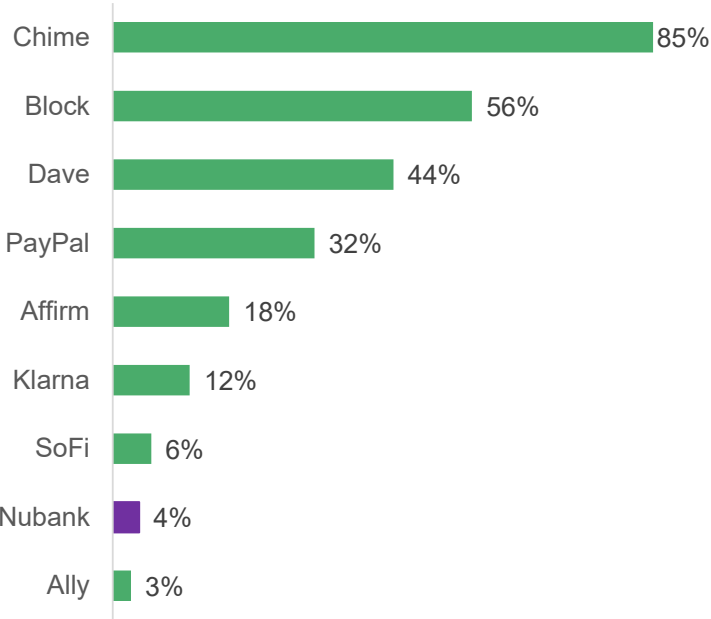


Source: Company Data, FDIC, Morgan Stanley Research. Note: Top 10 Retail Banks is based on credit card market share. For JPM, Citi, BofA, Wells, US Bank, and Barclays we used each institution's consumer banking unit financials. Not all consumer banking disclosures include cost-to-assets, which is why this figure is missing for a few of the top retail banks.

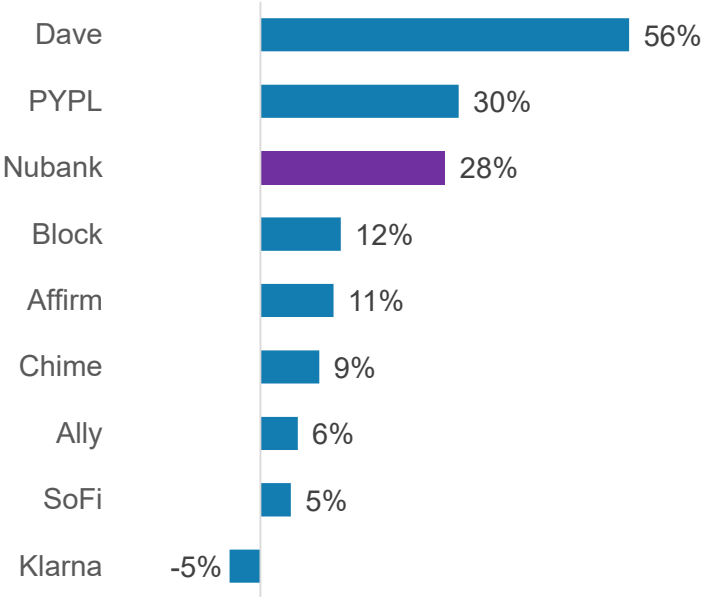
Nubank also outperforms digital peers, with a superior cost structure and profitability.

- Opportunity:** Nubank’s superior cost discipline enables it to compete aggressively on pricing, rewards, and customer acquisition while still delivering attractive returns. With an efficiency ratio of just 28%, Nubank operates at less than half the cost efficiency of most US digital banks. Meanwhile, its cost-to-asset ratio is lower than most all peers, except for Ally. Of note, Nubank generates a 28% ROE that is materially above most digital peers.

Select Digital Banks: Cost to Assets
(2025)



Select Digital Banks: ROE
(2025)

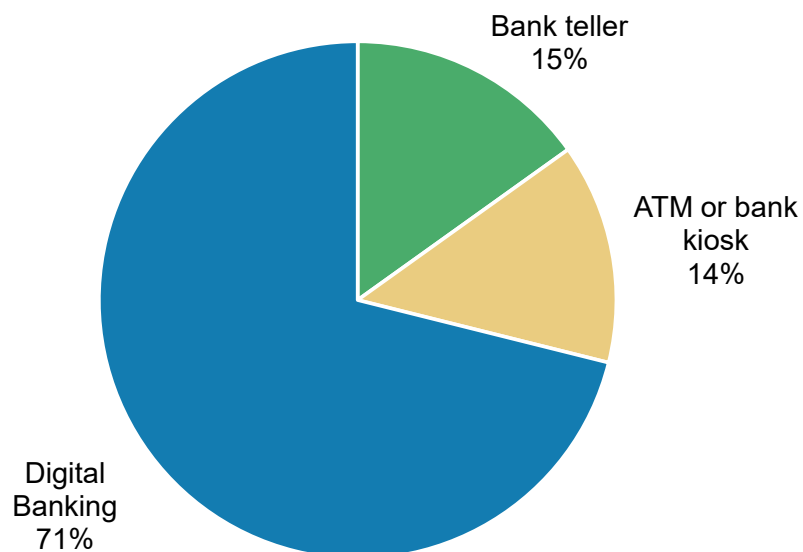


Source: Company Data, Morgan Stanley Research. Note: ROE excludes share-based compensation.

High digital adoption in the US reduces friction for digital-first entrants.

- **Opportunity:** More than two-thirds of US households already use digital banking as their main way of accessing financial services, suggesting limited friction to Nubank's mobile-only model.

Households Main Way of Banking
(% of US Households, 2023)



Source: FDIC National Survey of Unbanked and Underbanked Households, Morgan Stanley Research.

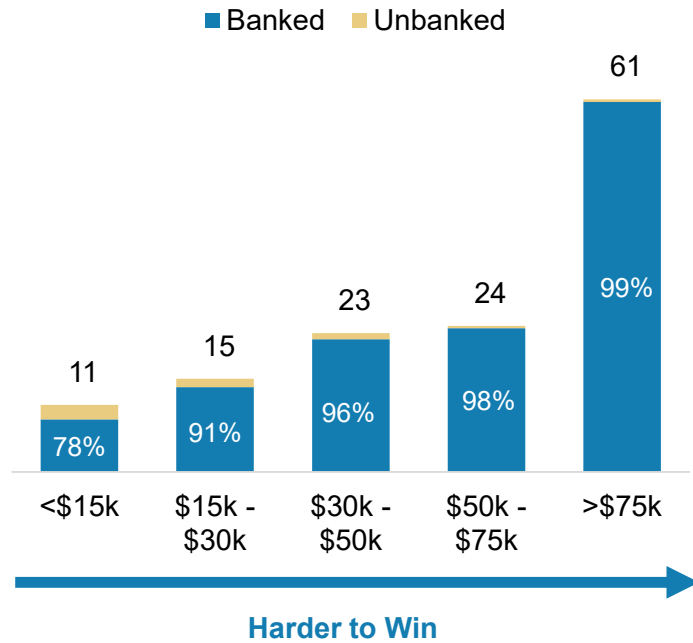
We identified the following US challenges for Nubank:

- Unlike Latam, the US is a mature and competitive market where growth depends primarily on taking share rather than expanding access.
- Achieving scale requires displacing large, well-established incumbents in a highly concentrated credit card market.
- Rewards are the primary driver of card choice in the US, forcing new entrants like Nubank to offer meaningful rewards and pressuring returns.
- Structurally higher customer acquisition costs in the US pressure Nubank's ability to replicate its Latam economics.
- High switching costs and weak account portability materially slow customer migration to new banking relationships.

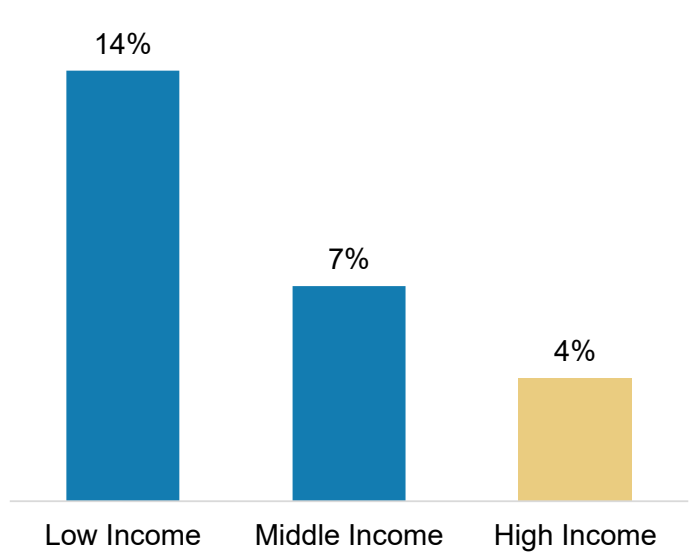
Most high-income households in the US are banked and reluctant to switch.

- Challenge:** Gaining share of wallet and principality among mid- to high-income US households is likely to be challenging. Over 96% are already banked and show low switching behavior. For instance, only 4% of high-income customers changed their primary bank in the last 12 months.

Number of US Households by Income Level and Bank Status
(Million, 2023)



US Customers Who Switched Primary Banks by Income Level
(% of each segment, 2025)

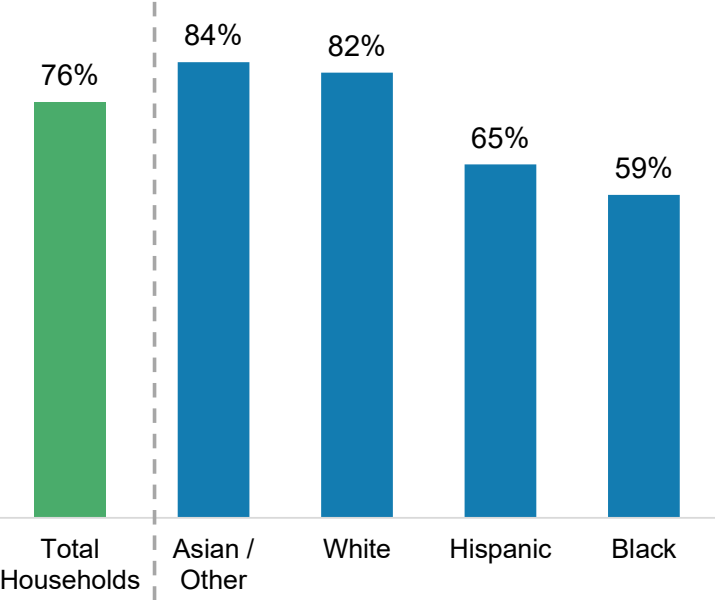


Source: FDIC National Survey of Unbanked and Underbanked Households, CBA Consumer Survey, Morgan Stanley Research.

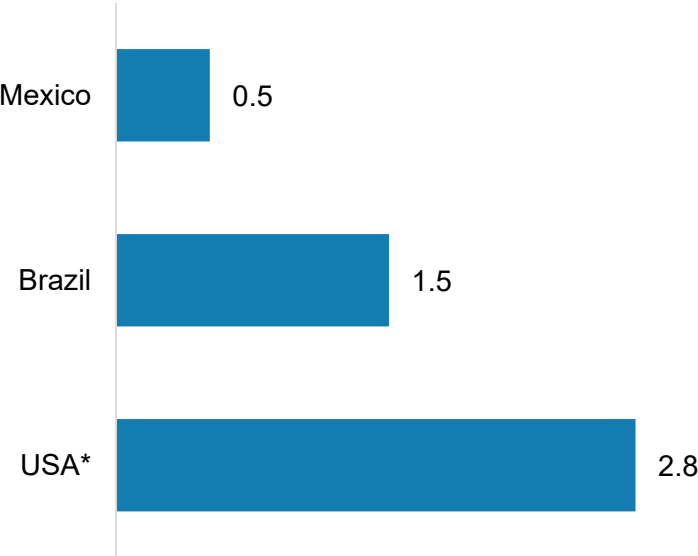
Credit card growth in the US depends almost entirely on taking share.

- Challenge:** Unlike Brazil and Mexico — where Nubank scaled mostly by expanding credit access — the US credit card market is already mature. About 76% of households have at least one credit card, with an average of 2.8 cards per adult, well above levels in Mexico and Brazil. As a result, growth for new entrants depends primarily on market share gains rather than expanding the market. That said, we note card penetration is lower-than-average among Hispanics.

Credit Card Penetration by Ethnicity
(2023)



Credit Cards Outstanding per Adult
(2025)

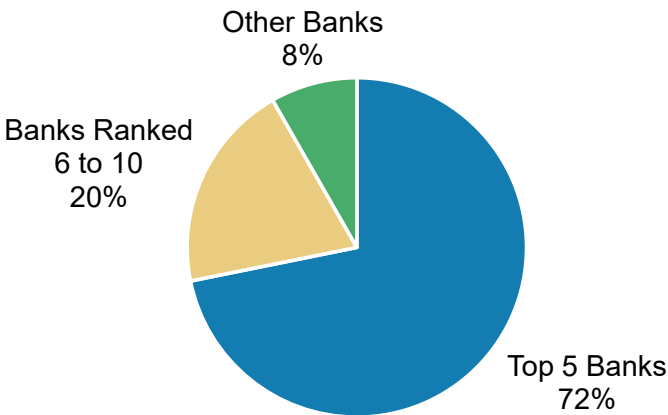


Source: Instituto Brasileiro de Geografia e Estatística, European Commission, Instituto Nacional de Estadística y Geografía, Banxico, BCB, NY Federal Reserve, Morgan Stanley Research. * For USA we used Credit Card Accounts as a proxy for credit cards.

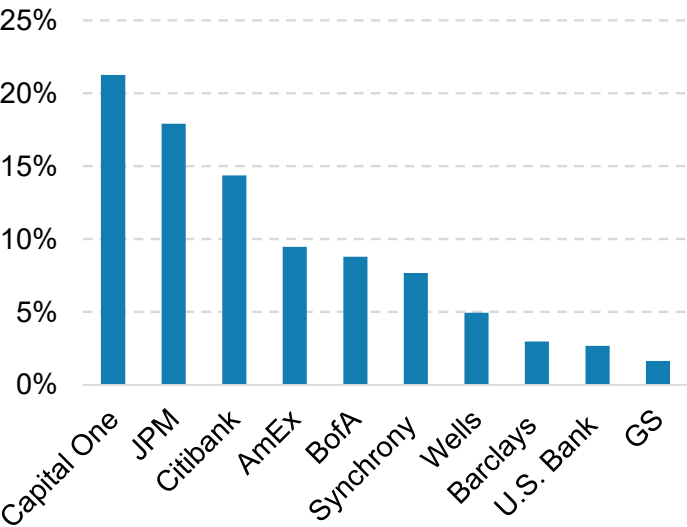
High concentration makes credit card a tough market to break into.

- **Challenge:** The US credit card market is highly concentrated — the top five banks control 72% of outstanding balances, and the top 10 nearly 92%. Combined with high card penetration, this makes credit cards harder for Nubank to scale, as growth requires taking share from large, well-established incumbents.

US Credit Card Loans Market Shares
(All Institutions; 2025)



US Credit Card Loans Market Shares
(Top 10 Market Share Holders; 2025)

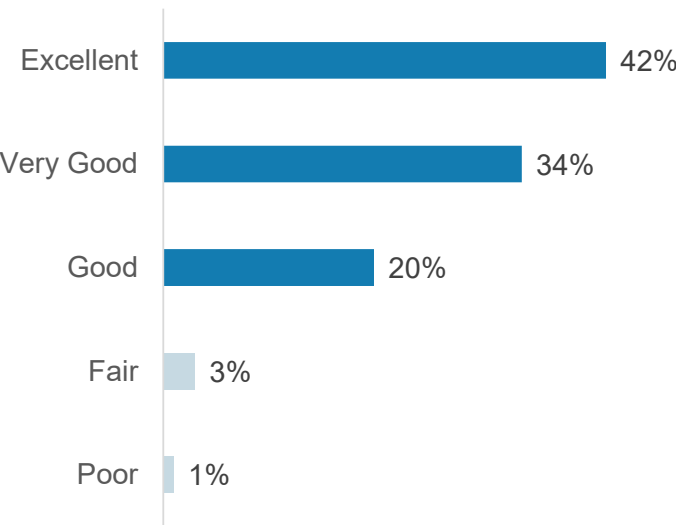


Source: FDIC, Morgan Stanley Research.

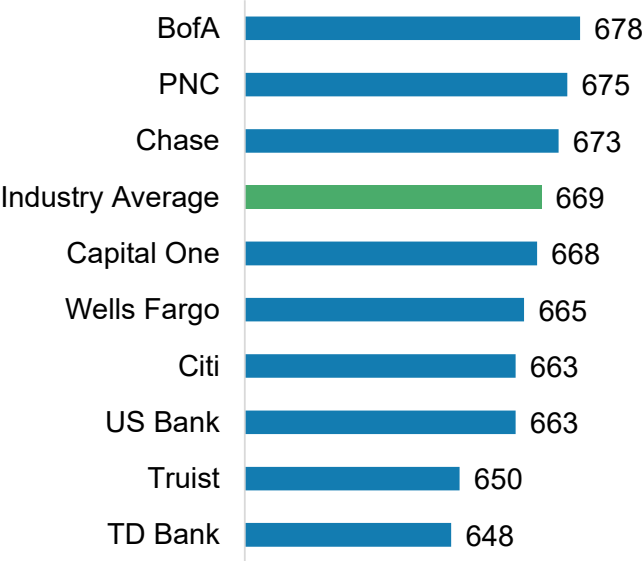
Digital experience alone is no longer a strong differentiator in the US

- **Challenge:** Digital banking experiences are already highly rated by US consumers, limiting scope for differentiation. Only 4% of customers describe their primary bank’s online experience as poor or fair, while digital satisfaction scores average 85/100 across both regional and national banks. With mobile app satisfaction already high and tightly clustered among well-establish banks, new entrants may struggle to differentiate meaningfully on digital experience alone — unlike in Brazil and Mexico at the time of Nubank’s launch.

Rating on Primary Bank’s Online Experience
(2024)



US Mobile Banking App Satisfaction
(1,000 pts scale, 2025)

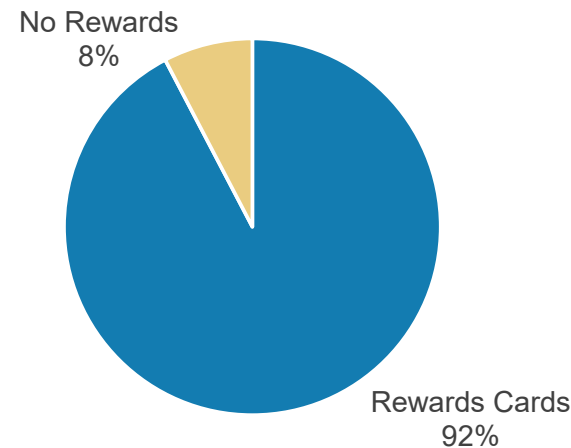


Source: CBA Consumer Survey, J.D. Power, Morgan Stanley Research.

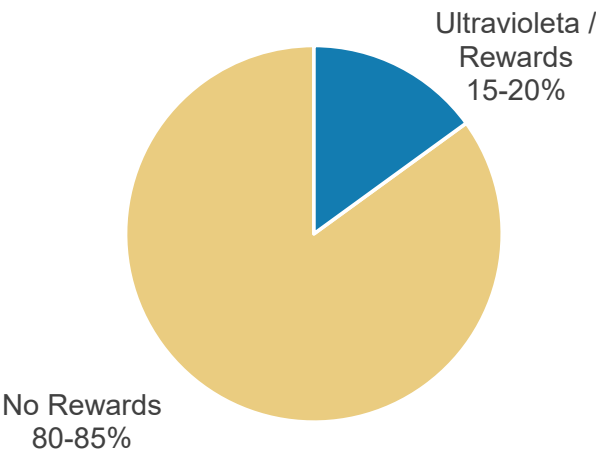
Credit card rewards are very prevalent in the US market; far more than in Nubank’s current credit card model.

- **Challenge:** Reward-based credit cards account for most of the total payment volume (TPV) in the US. This is not the case for Nubank’s current credit card business in Latam. Hence, Nubank will likely need to meaningfully adapt its product offering to compete effectively in the US market.
- Designing a sustainable rewards proposition is not simple. Fine tuning rewards by customer segment — while preserving unit economics — adds complexity. This could create growing pains as Nubank balances customer acquisition with profitability.

US Card TPV by Type of Benefit
(2024)



Nubank’s Card TPV by Type of Benefit
(Morgan Stanley Estimate)

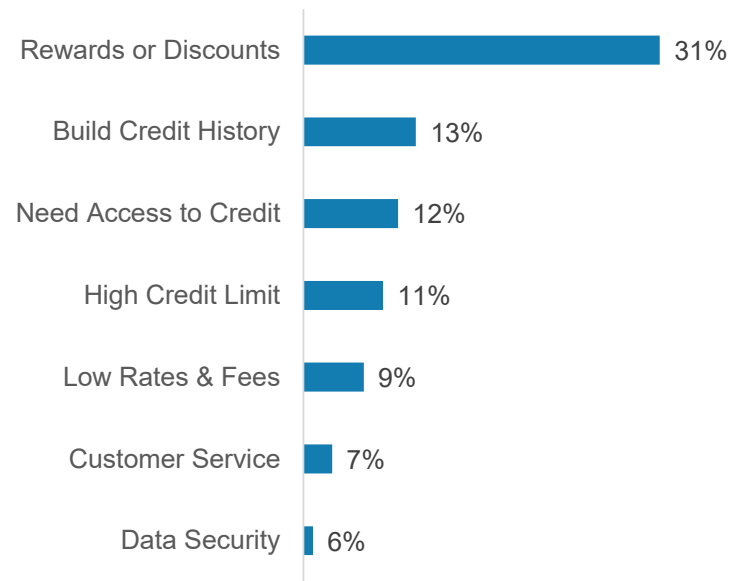


Source: Company Data, CFPB “The Consumer Credit Card Market” Report, Morgan Stanley Research. Note: “UV” refers to the Nubank Ultravioleta card, which offers rewards.

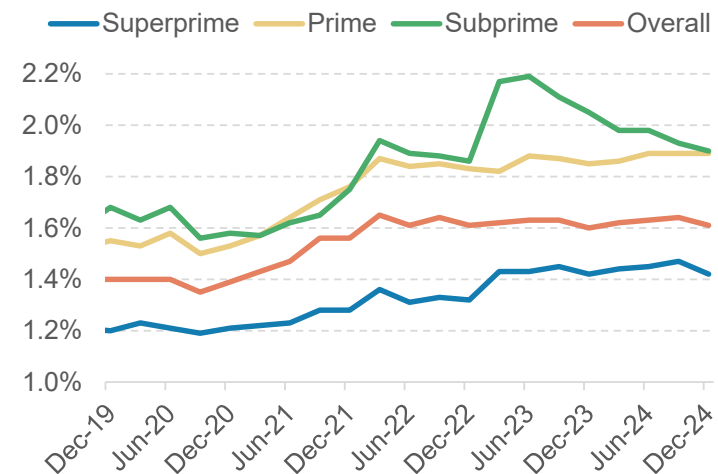
Rewards often dictate how US consumers pick a primary card, forcing new entrants to offer meaningful rewards and pressuring returns.

- **Challenge:** Almost one-third of US consumers say that rewards or discounts is the single most important factor in selecting a primary card, making it difficult for issuers to differentiate without offering economically meaningful rewards.
- Notably, rewards costs in the US average 1.6% of TPV, mostly offsetting the 1.5% average interchange earned by issuers, and leaving interest income to cover credit losses, funding, and operating costs. By contrast, rewards represented just 0.15% of Nubank's credit card TPV in 2025. Not to state the obvious, but the high cost of rewards in the US can limit Nubank's ability to compete more aggressively while still delivering attractive credit-card economics.

Reasons for Selecting US Primary Card (Most Important; 2025)



Rewards Earned by US Borrowers (As % of TPV)

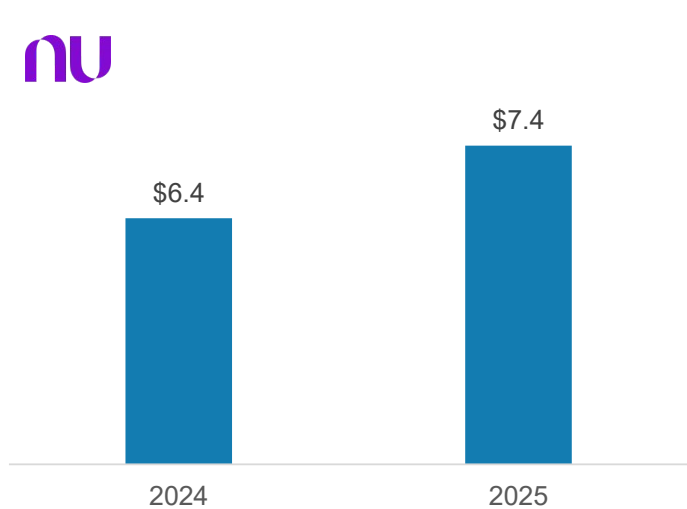


Source: CFPB "The Consumer Credit Card Market" Report, PYMTS Intelligence, Morgan Stanley Research.

US Retail banking CACs are materially higher than what Nubank is used to.

- **Challenge:** Given high customer acquisition costs (CAC) in US retail banking, it appears unlikely that Nubank will be able to maintain the same, exceptionally low CAC that it has in Latam. Higher acquisition costs could negatively impact Nubank’s ability to compete on fees, interest rates, or deposit remuneration while still generating attractive returns.
- While estimates for US banking CAC vary widely, ranging from US\$200 to over US\$1,000 depending on the product and customer segment, the conclusion is the same: average CACs in the US are orders of magnitude higher than Nubank’s US\$7 CAC in Latam. Even low-cost US digital challengers like Dave and Chime operate at higher CACs — 3x to 12x higher than Nubank’s.

Nubank’s CAC
(USD)



Average CAC in US Banking
(USD; 2024)

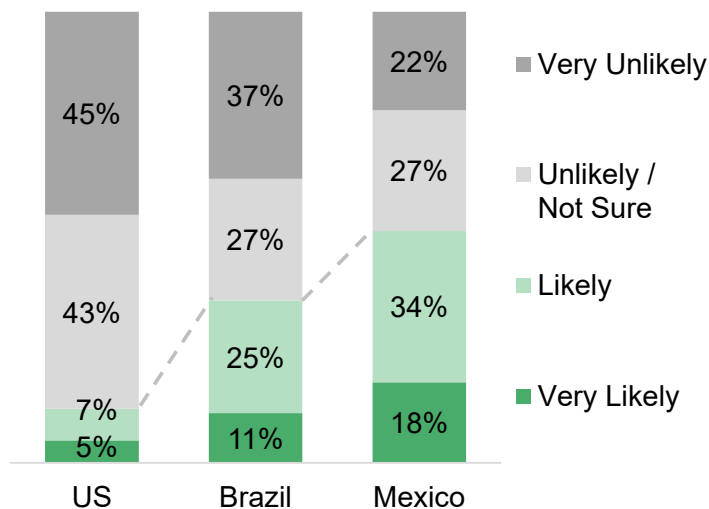
Bank Type	CAC
Credit Card Provider	\$167
Fintech (Overall)	\$202
Online (Digital) Bank	\$290
Savings & Loan Association	\$331
Credit Union	\$428
Retail -- Consumer	\$561
Retail -- Commercial	\$760
Average	\$391

Source: Company Data, FirstPageSage, Morgan Stanley Research.

High switching costs slow customer migration to new banking relationships.

- **Challenge:** High switching costs in the US limit customer mobility and create a meaningful barrier for new entrants. About 93% of American workers are paid via direct deposit, making switching cumbersome as it often requires manually migrating payroll and multiple recurring payment relationships. In many cases, banks require customers to cancel recurring bill payments before closing the account and submit account-closure requests in person or by phone.
- **Low observed switching confirms the friction:** Only 7% of US customers switched or added a new primary bank in the past 12 months, and 67% of those switchers were triggered by a major life event rather than proactive choice.
- **Forward-looking intent is also weak:** Just 12% of US primary banking customers are likely (“very” or “somewhat”) to change banks in the next 12 months, well below 36% in Brazil and 51% in Mexico.

Likelihood to Switch Primary Providers (Next 12 Months)



Brazil Case Study

- **Open finance** infrastructure and regulation is well developed. Adoption is meaningful:
 - Open finance has 62 million accounts authorized by 41 million unique clients.
- **Salary portability** is fully digital and can be initiated at the receiving bank, eliminating the need to interact with the incumbent.
 - 7.2 million salary portability requests in 2025, 44% of which were successful.
- **Credit portability** allows borrowers to transfer outstanding loans to another institution, typically to obtain better terms.
 - 9.2 million credit portability requests in 2025, 35% of which were successful.

Source: CBA Consumer Survey, AlphaWise, Morgan Stanley Research.

Tracking Nubank's Comments on US Expansion

October 20, 2025. Bloomberg Línea / David Vélez in Bogotá. Vélez said the US licensing process had started, but cautioned that reaching the US market could still take several months or even years.

November 13, 2025. On the 3Q25 earnings call, management said Brazil and Mexico remained the core priorities for resources and execution, while the US charter created longer-term strategic optionality.

December 3, 2025. American Banker interview with Cristina Junqueira. Junqueira said Nubank had long seen itself as a multinational company and argued that its Mexico and Colombia expansions gave it a more battle-tested platform for the US. In the meantime, Nubank is investing in infrastructure, product development, talent and physical presence (with planned offices in the Bay Area, Washington D.C. area, and Miami), while taking a gradual, test-and-learn approach, initially focusing on customer segments connected to its existing Latam base where the brand is already known, and avoiding any move that could distract management or lead to heavy cash burn in a highly competitive US market.

December 4, 2025. Fintech One-on-One podcast with Cristina Junqueira. She presents the move as the company's next major geography, but says the focus for now is on building the right foundation through a new national bank charter, product development, infrastructure, compliance, and hiring rather than rushing to scale. She suggests Nubank will likely start with customers and communities where the brand already has some connection or recognition, use Miami as a key hub for the effort, and expand gradually once the operating model is ready, reflecting a disciplined, step-by-step approach to entering the US market.

January 21, 2026. Nu / Mercedes-AMG PETRONAS F1 official announcement. Nubank made the brand-building logic explicit here: It said the partnership would expand its reach across the United States and other strategic markets, and Cristina framed it as part of a multiyear effort to build global awareness, not just a one-off sponsorship.

January 29, 2026. Official announcement of conditional US bank approval. Nubank said it had received conditional OCC approval to form Nubank, N.A., a new US national bank. It said the eventual bank would support deposit accounts, credit cards, lending, and digital-asset custody. Nubank again stressed that Brazil, Mexico, and Colombia remained the core focus, but called the approval a major step toward building the next generation of banking in the US. It also said the organization phase required capitalizing the institution within 12 months and opening within 18 months.

Early February 2026. Financial Times and Bloomberg profiles of David Vélez. Vélez sharpened the go-to-market message: Nubank sees room in underserved US niches rather than trying to attack the whole market at once, and he argued that a branchless, self-service model can still work in the competitive US market. The FT specifically reported interest in underserved segments including rural and Hispanic communities. Vélez identified some demographic areas as less well-served. "The more you go in the bottom of the pyramid, the less service and competition there is, and the more people are paying in fees and interest rates," Vélez said. "It's such a large market that even a small opportunity, a small percentage would really move the needle for Nubank."

February 25, 2026. 4-Q25 results earnings call. Nubank called 2026 an inflection year: Keep winning in Latin America, while laying the operational foundations for the US opportunity. In the Q&A, Vélez said 2026 US investment would be mostly team-building and product work and would not be significant at company scale. He also said the US strategy would be targeted by niches, subsegments, and possibly geographies, rather than a broad national rollout. "And while, at a very high level, it seems like a very saturated or competitive market in certain segments, when you dig in into subsegments in certain niches that, by the way, happen to be the size of Brazil, we actually find opportunity to solve a number of consumer problems that are similar to what we've done in the past."

March 2, 2026. At a Morgan Stanley event, CFO Lago said that the company sees US expansion as a low-cost, long-dated option with meaningful upside; Latam remains the core earnings engine with 3x upside over the next few years. Management described the US as a "low-cost, transformational option," emphasizing a disciplined, organic approach focused only on products and segments with attractive unit economics. It will target areas where it can replicate its core advantages — low CAC and low cost-to-serve — and avoid segments with customer acquisition costs in the hundreds of dollars. Resources will be tightly ring-fenced to prevent execution dilution in Latam, which remains the clear strategic priority. In this context, the US represents incremental upside, but not at the expense of the more certain Latam opportunity.

March 4, 2026. Nu / Inter Miami official announcement. Nubank explicitly tied the Inter Miami and NU Stadium deal to US expansion, saying it came at a pivotal moment as the company accelerates its move into the US. Cristina said the stadium would anchor the brand in the United States and help Nubank engage a diverse, international community, showing that Nu sees brand-building as part of market entry, not just advertising.

March 10, 2026. AFP interview with David Vélez. He argued that the US regulatory climate had become more open to new entrants and said Nubank's fully digital structure gave it a cost advantage in serving financially underserved consumers. He also reiterated that the company's ambitions were global and long-term.

March 11, 2026. Nu Videocast. Nubank said the purpose of its recent sports partnerships was to build trust and awareness in competitive markets like the US. Cristina said the playbook is to meet people where they already are, while still relying on word of mouth, product quality, and trust to drive customer acquisition in new markets. She reiterated the expected 18-month path to opening the US bank. Starting point will be Brazilians, Mexicans, Colombians that are aware of the brand, trust NU and are suffering from high fees and complexity.

April 13, 2026. Bloomberg profile/interview with Cristina in Miami. The strategy follows a niche-first approach, initially focusing on consumers with ties to Latin America — particularly in Florida, Texas, and California — before expanding to younger, affluent Americans more broadly. Key customer acquisition levers include brand-building through high-visibility partnerships (Inter Miami stadium naming rights, a Mercedes-linked F1 team) and potentially offering free remittances to bridge US immigrants with Nubank's existing Latam markets.

Financial Model

Exhibit 1: Nu Holdings — Consolidated Income Statement.

US\$ Millions	2022	2023	2024	2025	2026e	2027e	2028e
Interest Income	3,555	6,440	9,631	13,435	18,511	24,502	31,360
Fee and commission income	1,237	1,589	1,886	2,340	3,169	4,146	5,246
Total Revenue	4,792	8,029	11,517	15,775	21,681	28,648	36,605
Transaction Expenses	176	216	260	366	506	706	872
Loan-Loss Provisions	1,405	2,285	3,169	4,205	6,109	8,329	10,726
Interest and Other Financial Expenses	1,548	2,037	2,835	4,579	5,429	5,769	6,673
Total Costs of Services	3,129	4,538	6,264	9,150	12,045	14,805	18,271
Gross Profit	1,663	3,491	5,253	6,625	9,636	13,843	18,334
Customer Support and Operations	335	488	605	652	932	1,220	1,538
Marketing Expenses	153	171	246	303	525	683	843
General and Administrative Expenses	695	753	848	1,061	1,525	1,982	2,378
Share-based Compensation	282	289	408	359	547	738	917
Other Operating Income/(Expense)	(150)	(250)	(351)	(378)	(498)	(734)	(980)
Operating Expenses	1,616	1,952	2,458	2,753	4,028	5,358	6,656
Other Income/(Expense)	-	-	-	(4)	(1)	(2)	(2)
Income Before Income Taxes	47	1,539	2,795	3,868	5,607	8,484	11,677
Income Taxes	56	509	823	997	1,211	1,751	2,517
Non-controlling interests	(0)	-	-	-	-	-	-
Net Income	(9)	1,031	1,972	2,872	4,396	6,733	9,159
Full Diluted Shares Outstanding (mm)	4,851	4,989	4,990	4,982	4,982	4,982	4,982
EPS (US\$)	(0.00)	0.21	0.39	0.58	0.88	1.35	1.84
(+) Share-based Compensation	282	289	408	359	547	738	917
(-) Tax effect on share-based comp	73	90	137	126	186	253	314
(-) One-Time Gain / (Loss)	(4)	34	36	30	-	-	-
Adjusted Gain / Loss for the year	204	1,196	2,208	3,075	4,757	7,219	9,762
Adjusted EPS (US\$)	0.04	0.24	0.44	0.62	0.95	1.45	1.96
Profitability							
Gross Margin	35%	43%	46%	42%	44%	48%	50%
Efficiency Ratio	55%	36%	31%	28%	28%	27%	25%
Operating Margin	1%	19%	24%	25%	26%	30%	32%
Net Margin	0%	13%	17%	18%	20%	24%	25%
ROA	0%	3%	4%	5%	5%	6%	6%
ROE	0%	18%	28%	30%	33%	36%	34%

Source: Company Data, Morgan Stanley Research Estimates (e).

Exhibit 2: Nu Holdings — Consolidated Balance Sheet.

<i>US\$ Millions</i>	2022	2023	2024	2025	2026e	2027e	2028e
<u>Assets</u>							
Cash and cash equivalents	4,172	5,923	9,186	15,004	15,215	10,068	13,221
Securities	12,859	16,748	18,283	25,977	32,403	44,739	56,762
Credit card receivables, net	8,233	12,414	12,259	18,268	23,510	29,444	34,397
Loans to customers, net	1,673	3,202	5,322	9,421	16,347	32,043	43,149
Deferred tax assets	811	1,538	1,818	2,511	3,722	5,633	7,063
PP&E + Intangible Assets	210	335	373	629	794	1,003	1,266
Miscellaneous assets & collateral	958	1,364	1,198	1,934	2,177	2,450	2,758
Other financial assets at amortized cost	1,000	1,821	1,492	1,149	1,994	2,564	3,071
Total Assets	29,917	43,345	49,931	74,894	96,162	127,944	161,686
<u>Liabilities</u>							
Deposits	15,809	23,691	28,855	41,925	53,819	72,576	91,670
Payables to credit card network	7,055	9,755	9,334	13,634	16,982	20,930	24,074
Borrowings and financing	586	1,136	1,730	4,398	5,795	7,885	9,954
Other liabilities	1,577	2,356	2,365	3,615	3,837	4,072	4,322
Total Liabilities	25,026	36,939	42,284	63,572	80,432	105,463	130,021
Shareholders' Equity	4,891	6,406	7,646	11,291	15,687	22,420	31,580
Equity attributable to non-controlling interests	-	-	1	31	43	61	86
Total Liabilities and Equity	29,917	43,345	49,931	74,894	96,162	127,944	161,686

Source: Company Data, Morgan Stanley Research Estimates (e).

Exhibit 3: Nu Holdings — Key Ratios.

US\$ Millions	2022	2023	2024	2025	2026e	2027e	2028e
Summary Financials							
Total Clients (MM)	74.7	93.9	114.3	131.0	148.0	167.1	183.1
Active Clients (MM)	61.2	78.0	94.9	109.3	122.4	137.9	150.9
Net Revenue	4,792	8,029	11,517	15,775	21,681	28,648	36,605
Interest Income	3,555	6,440	9,631	13,435	18,511	24,502	31,360
Fee and commission	1,237	1,589	1,886	2,340	3,169	4,146	5,246
Gross Profit	1,663	3,491	5,253	6,625	9,636	13,843	18,334
Operating Expenses	1,616	1,952	2,458	2,753	4,028	5,358	6,656
Net Income	(9)	1,031	1,972	2,872	4,396	6,733	9,159
Adj. Net Income	204	1,196	2,208	3,075	4,757	7,219	9,762
EPS (US\$)	(0.00)	0.21	0.39	0.58	0.88	1.35	1.84
Adj. EPS (US\$)	0.04	0.24	0.44	0.62	0.95	1.45	1.96
Total Loans, net	9,907	15,616	17,581	27,689	39,857	61,487	77,545
Card Receivables	8,233	12,414	12,259	18,268	23,510	29,444	34,397
Loans to Customers	1,673	3,202	5,322	9,421	16,347	32,043	43,149
Deposits	15,809	23,691	28,855	41,925	53,819	72,576	91,670
Shareholders Equity	4,891	6,406	7,646	11,291	15,687	22,420	31,580
Growth Rates							
Total Clients (MM)	38%	26%	22%	15%	13%	13%	10%
Active Clients (MM)	49%	27%	22%	15%	12%	13%	9%
Net Revenue	182%	68%	43%	37%	37%	32%	28%
Interest Income	240%	81%	50%	39%	38%	32%	28%
Fee and commission	90%	28%	19%	24%	35%	31%	27%
Gross Profit	127%	110%	50%	26%	45%	44%	32%
Operating Expenses	79%	21%	26%	12%	46%	33%	24%
Net Income	-95%	-11544%	91%	46%	53%	53%	36%
Adj. Net Income	3129%	486%	85%	39%	55%	52%	35%
EPS (US\$)	-95%	-11199%	91%	46%	53%	53%	36%
Adj. EPS (US\$)	3252%	475%	84%	40%	55%	52%	35%
Total Loans	66%	58%	13%	57%	44%	54%	26%
Card Receivables	72%	51%	-1%	49%	29%	25%	17%
Loans to Customers	40%	91%	66%	77%	74%	96%	35%
Deposits	64%	50%	22%	45%	28%	35%	26%
Shareholders Equity	10%	31%	19%	48%	39%	43%	41%
Profit Margins & Key Ratios							
Gross Margin	35%	43%	46%	42%	44%	48%	50%
Efficiency Ratio	55%	36%	31%	28%	28%	27%	25%
Operating Margin	1%	19%	24%	25%	26%	30%	32%
LLP/Avg Loans	17%	18%	19%	18%	19%	17%	15%
Net Margin	0%	13%	17%	18%	20%	24%	25%
Adj Net Margin	4%	15%	19%	19%	22%	25%	27%
ROA	0%	3%	4%	5%	5%	6%	6%
ROE	0%	18%	28%	30%	33%	36%	34%
ARPAC - Yearly (US\$)	93	116	133	154	187	220	253
ARPAC - Monthly (US\$)	7.7	9.6	11.0	12.9	15.6	18.3	21.1
Cost to Serve - Yearly (US\$)	9.9	10.2	10.0	10.0	12.4	14.8	16.6
Cost to Serve - Monthly (US\$)	0.8	0.8	0.8	0.8	1.0	1.2	1.4
Effective Tax Rate	119%	33%	29%	26%	22%	21%	22%
Revenue By Country							
Brazil	4,506	7,480	10,436	13,925	18,420	22,723	27,003
Mexico	201	414	812	1,166	1,959	4,110	7,139
Colombia	20	80	137	257	515	1,158	1,935
Other / Holding	64	55	133	427	786	657	528
Revenue Contribution							
Brazil	94%	93%	91%	88%	85%	79%	74%
Mexico	4%	5%	7%	7%	9%	14%	20%
Colombia	0%	1%	1%	2%	2%	4%	5%
Other / Holding	1%	1%	1%	3%	4%	2%	1%

Source: Company Data, Morgan Stanley Research Estimates (e).

Latam Financials Trading Comps

Exhibit 4: Latin America Financial Institutions Trading Comparables.

LatAm Banks - Summary Comps																											
	Coverage	MS Rating	Price 15-Apr-26	Price Target	Upside (%)	P/BV	EPS			P / E			ROE (%)	Price Performance in US\$ (%)										Div. Yield 26e (%)			
							25e	26e	27e	25e	26e	27e		1d	1w	1m	3m	6m	12m	YTD	2025	52-week High	52-week Low				
ARGENTINA																											
BBVA Argentina	\$/ADR	O	16.3	25.0	54	1.3x	1.01	1.59	2.90	16.1x	10.2x	5.6x	11.2	1	(1)	26	(6)	73	(18)	(10)	(5)	23.1	7.8	3,323	16	12	2.4
GF Galicia	\$/ADR	O	49.4	78.0	58	1.4x	1.28	4.45	8.12	38.5x	11.1x	6.1x	10.8	0	4	21	(3)	52	(17)	(8)	(13)	66.2	25.9	7,932	107	62	1.8
Macro	\$/ADR	O	82.7	126.0	52	1.4x	3.73	4.76	10.90	22.2x	17.4x	7.6x	7.2	1	2	26	(8)	55	(7)	(8)	(7)	106.2	38.3	5,282	38	27	3.5
Supervielle	\$/ADR	O	9.8	14.5	49	1.2x	(0.34)	0.71	1.57	NA	13.7x	6.2x	7.4	1	(1)	21	(8)	52	(34)	(18)	(22)	17.0	4.5	854	19	8	-
Argentine Financials														1	2	23	(6)	57	(15)	(9)	(10)			17,390	180	109	2.3
MSCI Argentina			9,409											(0)	(2)	10	8	54	12	3	(6)	9,959	5,365				
BRAZIL																											
Banco do Brasil	R\$/ON	O	24.4	39.0	60	0.7x	3.61	4.34	6.13	6.8x	5.6x	4.0x	12.2	(4)	2	8	22	27	3	23	3	30.0	18.1	28,011	132	113	6.2
Bradesco	\$/ADR	O	4.1	4.8	17	1.3x	0.42	0.47	0.54	9.7x	8.7x	7.6x	14.8	-	5	14	17	25	88	23	74	4.3	2.2	43,472	242	272	6.3
Itaú Unibanco	\$/ADR	O	9.4	9.1	(3)	2.6x	0.77	0.84	0.93	12.2x	11.2x	10.1x	23.8	1	6	15	26	40	73	31	64	9.6	5.4	103,539	370	436	5.8
Santander Brasil	\$/ADR	O	6.4	8.1	27	1.2x	0.76	0.85	0.95	8.4x	7.5x	6.7x	16.9	(1)	3	9	3	21	38	4	56	7.3	4.6	23,883	22	23	7.4
Banco BTG Pactual	R\$/ON	O	64.3	65.0	1	3.6x	4.17	4.87	5.41	15.4x	13.2x	11.9x	23.1	1	6	21	26	51	121	35	119	64.3	33.7	49,775	78	107	3.0
Nubank	\$/O	O	15.3	21.0	37	6.8x	0.58	0.88	1.35	26.7x	17.4x	11.4x	28.0	(0)	6	7	(8)	2	42	(8)	62	19.0	10.6	76,428	758	725	-
Inter & Co	\$/O	U	8.4	4.6	(45)	1.8x	0.54	0.63	0.70	15.6x	13.4x	12.0x	13.2	(0)	3	3	3	(8)	50	(1)	101	10.4	5.6	3,698	37	43	1.5
PicPay	\$/O	NC	13.1	--	--	2.2x	0.82	1.41	3.31	16.0x	9.3x	4.0x	N/A	(1)	10	(13)	NA	NA	NA	NA	N/A	20.0	9.9	1,735	14	9	-
Agibank	\$/O	O	7.8	20.0	156	1.7x	1.36	1.35	1.84	5.7x	5.8x	4.2x	24.6	5	8	(20)	NA	NA	NA	NA	N/A	12.2	6.5	1,093	8	5	-
XP Inc	\$/O	O	20.8	26.0	25	2.3x	1.74	1.98	2.31	11.9x	10.5x	9.0x	21.5	(2)	5	8	19	26	51	27	38	23.1	13.6	10,814	123	114	3.8
B3	R\$/ON	O	19.8	22.0	11	5.9x	0.88	1.12	1.21	22.5x	17.8x	16.3x	33.3	0	8	21	41	72	91	57	52	19.9	12.0	20,681	101	134	5.6
Stone	\$/O	U	14.9	9.0	(40)	1.8x	1.57	1.63	1.49	9.5x	9.2x	10.0x	17.9	2	6	6	1	(16)	25	1	86	20.0	11.7	3,962	87	62	2.2
PagSeguro	\$/O	U	11.3	7.7	(32)	1.2x	1.29	1.56	1.55	8.8x	7.2x	7.3x	14.5	4	5	18	11	29	33	18	54	12.3	7.7	3,466	46	34	4.1
Porto Seguro	R\$/ON	O	53.8	58.0	8	2.3x	5.17	5.65	6.44	10.4x	9.5x	8.3x	22.9	2	6	20	26	26	57	22	50	57.2	40.1	6,989	19	18	5.3
BB Seguridade	R\$/ON	E	35.1	33.0	(6)	7.5x	4.68	4.38	4.38	7.5x	8.0x	8.0x	98.1	(2)	(0)	6	8	19	2	7	13	42.8	31.5	13,630	38	36	12.1
Caixa Seguridade	R\$/ON	O	18.9	20.0	6	8.7x	1.44	1.60	1.74	13.1x	11.8x	10.8x	63.1	(5)	0	8	26	39	42	25	32	20.1	13.2	11,334	13	18	7.8
IRB	R\$/ON	NC	58.8	--	--	0.9x	6.16	7.23	8.42	9.5x	8.1x	7.0x	N/A	2	8	11	23	38	47	21	43	66.7	42.6	964	8	8	-
Brazil Financials														(0)	5	13	16	29	63	20	63			400,666	2,072	2,144	5.8
MSCI Brazil			2,133											(1)	5	14	24	41	67	30	40	2,150	1,258				
CHILE																											
Banco de Chile	\$/ADR	E	39.8	45.0	13	3.1x	2.51	2.87	3.21	15.8x	13.8x	12.4x	21.0	1	5	3	0	22	45	5	68	46.8	27.1	20,102	29	39	6.1
Santander Chile	\$/ADR	E	35.5	38.0	7	3.1x	2.38	2.83	3.10	14.9x	12.5x	11.5x	20.3	(1)	3	13	10	28	54	14	65	37.7	22.8	16,743	20	30	5.6
Chile Financials														(0)	4	7	5	24	49	9	66			36,845	49	69	5.9
MSCI Chile			1,788											(0)	6	9	0	33	56	8	67	1,925	1,090				
MEXICO																											
Banorte	MS/O	E	198.1	230.0	16	2.2x	20.90	22.57	24.58	9.5x	8.8x	8.1x	24.0	1	(0)	9	13	22	55	24	44	210.0	146.4	32,292	61	74	7.4
Banco del Bajío	MS/O	E	58.8	60.0	2	1.5x	7.63	7.10	7.87	7.7x	8.3x	7.5x	16.8	2	4	21	29	41	48	35	26	59.5	41.7	4,050	6	6	4.8
Qualitas	MS/O	E	164.2	201.0	22	2.5x	12.89	15.28	16.37	12.7x	10.7x	10.0x	21.0	(1)	(1)	4	(4)	8	7	(8)	23	237.2	155.7	3,752	8	6	5.6
Inbursa	MS/O	NC	45.3	--	--	1.0x	5.15	5.76	6.25	8.8x	7.9x	7.2x	N/A	2	1	10	4	1	10	8	16	55.0	40.5	15,855	5	5	-
Banregio	MS/O	NC	143.6	--	--	1.3x	20.14	21.10	22.65	7.1x	6.8x	6.3x	N/A	(2)	(6)	3	4	18	27	5	41	165.8	129.1	2,729	6	5	-
Genera	MS/O	NC	48.9	--	--	2.2x	5.20	5.94	6.75	9.4x	8.2x	7.2x	N/A	(0)	(3)	8	6	16	85	11	119	55.0	30.5	4,474	8	9	-
Bolsa Mexicana	MS/O	NC	37.1	--	--	2.7x	2.89	3.07	3.28	12.8x	12.1x	11.3x	N/A	(1)	2	4	3	15	16	4	28	45.2	33.1	1,195	3	2	-
Mexico Financials														1	(0)	9	9	17	41	17	40			64,348	97	107	7.0
MSCI Mexico			8,527											1	1	10	8	22	53	15	50	8,703	5,304				
OTHER																											
dLocal	\$/O	E	13.5	14.5	7	7.2x	0.65	0.80	1.00	20.7x	16.9x	13.6x	33.0	0	6	19	(7)	(10)	56	(4)	26	16.8	8.5	4,096	22	25	-
Credicorp	\$/ADR	E	316.5	355.0	12	2.2x	24.83	28.95	32.04	12.7x	10.9x	9.9x	17.8	(11)	(10)	(5)	(1)	25	71	10	57	380.2	183.3	25,119	98	127	5.0
InterCorp	\$/ADR	NC	45.8	--	--	1.4x	5.43	5.90	6.32	8.4x	7.8x	7.2x	N/A	(11)	(12)	(1)	2	12	47	8	44	53.0	30.6	5,116	9	13	-
Grupo Cíbst	\$/ADR	O	75.1	77.0	3	1.7x	4.03	8.09	9.12	18.6x	9.3x	8.2x	17.1	(3)	(0)	10	2	32	92	18	102	86.3	39.0	17,889	42	54	6.5
Grupo Aval	\$/ADR	NC	4.8	--	--	1.1x	0.39	0.42	0.52	12.4x	11.4x	9.2x	N/A	1	9	17	12	25	95	19	100	5.3	2.4	5,710	0	0	-
Davienvia	Co\$/PFD	NC	25,120	--	--	0.7x	3.290	3.330	4.927	7.6x	7.5x	5.1x	N/A	(1)	2	(1)	(1)	(3)	47	6	65	31,480	20,440	3,397	1	0	-
Grupo Sura	Co\$/PFD	NC	45,280	--	--	0.8x	7.133	7.574	7.772	6.3x	6.0x	5.8x	N/A	(1)	12	15	1	31	42	11	91	53,000	32,880	4,115	2	3	-
Bladex	\$/ADR	NC	56.0	--	--	1.2x	6.11	6.33	6.95	9.2x	8.9x	8.1x	N/A	2	5	16	25	25	48	26	25	56.5	36.5	2,086	6	8	-
Other Latin Financials														(6)	(3)	5	2	22	72	12	71			87,529	180	230	5.6
MSCI LatAm			3,344											(1)	3	12	16	35	64	23	46	3,369	1,979				
Latin America Financials														(1)	4	11	12	28	58	17	59			586,778	2,578	2,658	5.8

Source: Morgan Stanley Research, FactSet. Prices as of 4/15/2026.

Valuation Methodology and Risks

Nu Holdings Ltd. (NU.N)

Our valuation work and price targets are based on residual income analysis. In our residual income model, the value of the firm is mainly a function of the magnitude of the spread between return on equity and cost of equity (performance spread) and the time period in which management can generate returns in excess of the cost of equity (economic growth horizon). Our valuation model uses a discount rate of 13.9% and long-term ROE of 28%.

Risks to Upside

- Increasing penetration of financial products in LatAm
- Successful geographical expansion
- New products added to the platform
- Improving cross-sell initiatives
- M&A

Risks to Downside

- Asset quality deterioration
- Regulatory headwinds
- Tougher competition could impact margins
- Execution risk of international expansion
- Potential conflicts of interest between controlling and minority holders

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Jorge Echevarria; Jorge Kuri.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of March 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: B3 SA BRASIL BOLSA BALCAO, Banco BTG Pactual SA, Inter & Co Inc., **Nu Holdings Ltd.**, PagSeguro Digital, StoneCo Ltd., XP Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of AGI Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from AGI Inc, StoneCo Ltd..

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from AGI Inc, B3 SA BRASIL BOLSA BALCAO, Banco Bradesco, Banco BTG Pactual SA, Banco do Brasil, Banco Santander Brasil, BB Seguridade Participacoes S.A., Caixa Seguridade Participacoes S.A., Inter & Co Inc., Itau Unibanco Holding S.A., **Nu Holdings Ltd.**, PagSeguro Digital, StoneCo Ltd., XP Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from B3 SA BRASIL BOLSA BALCAO, Banco Bradesco, Banco BTG Pactual SA, Banco do Brasil, Banco Santander Brasil, Inter & Co Inc., Itau Unibanco Holding S.A., **Nu Holdings Ltd.**, StoneCo Ltd., XP Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: AGI Inc, B3 SA BRASIL BOLSA BALCAO, Banco Bradesco, Banco BTG Pactual SA, Banco do Brasil, Banco Santander Brasil, BB Seguridade Participacoes S.A., Caixa Seguridade Participacoes S.A., Inter & Co Inc., Itau Unibanco Holding S.A., **Nu Holdings Ltd.**, PagSeguro Digital, StoneCo Ltd., XP Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: B3 SA BRASIL BOLSA BALCAO, Banco Bradesco, Banco BTG Pactual SA, Banco do Brasil, Banco Santander Brasil, Inter & Co Inc., Itau Unibanco Holding S.A., **Nu Holdings Ltd.**, StoneCo Ltd., XP Inc.

An employee, director or consultant of Morgan Stanley is a director of Inter & Co Inc.. This person is not a research analyst or a member of a research analyst's household.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of March 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Nu Holdings Ltd. (NU.N) - As of 04/16/26 GMT in USD
Industry : Brazil Financial Institutions



Stock Rating History: 1/3/22 : 0/NR

Price Target History: 1/3/22 : 16; 5/24/22 : 14; 8/17/22 : 12.5; 11/16/22 : 10.75; 3/3/23 : 10; 5/1/23 : 11; 10/18/23 : 16; 8/20/24 : 18; 3/1/26 : 21

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as * Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Brazil Financial Institutions

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/16/2026)
Jorge Echevarria		
BB Seguridade Participacoes S.A. (BBSE3.SA)	E (09/18/2025)	R\$35.01
Caixa Seguridade Participacoes S.A. (CXSE3.SA)	O (06/10/2021)	R\$18.88
Porto Seguro (PSSA3.SA)	O (11/02/2022)	R\$53.69

Jorge Kuri

AGI Inc (AGBK.N)	O (03/08/2026)	US\$7.28
B3 SA BRASIL BOLSA BALCAO (B3SA3.SA)	O (05/12/2025)	R\$19.78
Banco Bradesco (BBD.N)	O (08/07/2019)	US\$4.15
Banco BTG Pactual SA (BPAC11.SA)	O (03/28/2017)	R\$64.34
Banco do Brasil (BBAS3.SA)	O (03/07/2018)	R\$24.28
Banco Santander Brasil (BSBR.N)	O (08/07/2019)	US\$6.34
Inter & Co Inc. (INTR.O)	U (06/13/2018)	US\$8.46
Itau Unibanco Holding S.A. (ITUB.N)	O (06/17/2024)	US\$9.33
Nu Holdings Ltd. (NU.N)	O (01/03/2022)	US\$15.43
PagSeguro Digital (PAGS.N)	U (09/04/2024)	US\$11.58
StoneCo Ltd. (STNE.O)	U (01/18/2026)	US\$15.29
XP Inc (XP.O)	O (05/12/2025)	US\$21.12

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.